

House File 1054

H-1350

1 Amend House File 1054 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <DIVISION I

5 ECONOMIC DEVELOPMENT PROGRAMS — TAX CREDIT LIMITS

6 Section 1. Section 15.119, Code 2025, is amended to read as
7 follows:

8 **15.119 Aggregate tax credit limit for certain ~~economic~~
9 business development programs.**

10 1. *a.* Notwithstanding any provision to the contrary in any
11 of the business development programs listed in subsection 2,
12 the authority, except as provided in paragraph "b", shall not
13 authorize for any one fiscal year an amount of tax credits for
14 the programs specified in subsection 2 that is in excess of one
15 hundred ~~seventy ten~~ million dollars.

16 *b.* (1) The authority may authorize an amount of tax credits
17 during a fiscal year that is in excess of the amount specified
18 in paragraph "a", but the amount of such excess shall not exceed
19 twenty percent of the amount specified in paragraph "a", and
20 shall be counted against the total amount of tax credits that
21 may be authorized for the next fiscal year.

22 (2) Any amount of tax credits authorized and awarded during
23 a fiscal year for a program specified in subsection 2 which
24 are irrevocably declined by the awarded business or revoked
25 by the authority on or before June 30 of the next fiscal year
26 may be reallocated, authorized, and awarded during the fiscal
27 year in which the declination or revocation occurs. Tax
28 credits authorized pursuant to this subparagraph shall not be
29 considered for purposes of subparagraph (1).

30 2. ~~The authority, with the approval of the board, shall~~
31 ~~adopt by rule a procedure for allocating the aggregate tax~~
32 ~~credit limit established in this section among the following~~
33 The aggregate tax credit limit specified in subsection 1 shall
34 be allocated to business development programs as follows:

35 ~~*a.* (1) The high quality jobs program administered pursuant~~

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1 to ~~subchapter II, part 13.~~

2 ~~(2) In allocating tax credits pursuant to this subsection~~
3 ~~for the fiscal year beginning July 1, 2022, and for each fiscal~~
4 ~~year thereafter, the authority shall not allocate more than~~
5 ~~sixty-eight million dollars for purposes of this paragraph.~~

6 ~~(3) In allocating tax credits pursuant to this subsection,~~
7 ~~the authority shall prioritize issuing additional research~~
8 ~~activities tax credits pursuant to section 15.335.~~

9 ~~b. The enterprise zones program administered pursuant to~~
10 ~~sections 15E.191 through 15E.197, Code 2014.~~

11 ~~c. The assistive device tax credit program administered~~
12 ~~pursuant to section 422.33, subsection 9.~~

13 ~~d. The tax credits for investments in qualifying businesses~~
14 ~~issued pursuant to section 15E.43. In allocating tax credits~~
15 ~~pursuant to this subsection, the authority shall allocate two~~
16 ~~million dollars for purposes of this paragraph, unless the~~
17 ~~authority determines that the tax credits awarded will be less~~
18 ~~than that amount.~~

19 ~~e. a. (1) The tax credits for investments in an innovation~~
20 ~~fund pursuant to section 15E.52 chapter 15E, subchapter VI,~~
21 ~~and the seed investor tax credit pursuant to chapter 15E,~~
22 ~~subchapter IV. In allocating tax credits pursuant to this~~
23 ~~subsection, the authority shall allocate eight ten million~~
24 ~~dollars for purposes of this paragraph, unless the authority~~
25 ~~determines that the tax credits awarded will be less than that~~
26 ~~amount and the board shall determine the tax credit amount~~
27 ~~allocated to each program under this paragraph each fiscal~~
28 ~~year.~~

29 ~~(2) For the fiscal year beginning July 1, 2025, the~~
30 ~~allocation pursuant to this paragraph shall be reduced by any~~
31 ~~tax credit authorized by the authority prior to July 1, 2026,~~
32 ~~for an investment in a qualifying business pursuant to chapter~~
33 ~~15E, subchapter V, Code 2025. This subparagraph is repealed~~
34 ~~July 1, 2026.~~

35 ~~f. The redevelopment tax credit program for brownfields~~

1 ~~and grayfields administered pursuant to [sections 15.293A](#) and~~
2 ~~[15.293B](#).~~

3 ~~*g.*—The workforce housing tax incentives program administered~~
4 ~~pursuant to [subchapter II, part 17](#). In allocating tax credits~~
5 ~~pursuant to [this subsection](#), the authority shall not allocate~~
6 ~~more than thirty-five million dollars for purposes of this~~
7 ~~paragraph. Of the moneys allocated under this paragraph,~~
8 ~~seventeen million five hundred thousand dollars shall be~~
9 ~~reserved for allocation to qualified housing projects in small~~
10 ~~cities, as defined in [section 15.352](#), that are registered on~~
11 ~~or after July 1, 2017.~~

12 ~~*h.*—The renewable chemical production tax credit program~~
13 ~~administered pursuant to [subchapter II, part 12](#). In allocating~~
14 ~~tax credits pursuant to [this subsection](#) for the fiscal year~~
15 ~~beginning July 1, 2021, and for each fiscal year beginning~~
16 ~~before July 1, 2037, the authority shall not allocate more than~~
17 ~~five million dollars for purposes of this paragraph. This~~
18 ~~paragraph is repealed July 1, 2039.~~

19 ~~3. In allocating the amount of tax credits authorized~~
20 ~~pursuant to [subsection 1](#) among the programs specified in~~
21 ~~[subsection 2](#), the authority shall not allocate more than~~
22 ~~fifteen million dollars for purposes of [subsection 2](#), paragraph~~
23 ~~“f”.~~

24 ~~*b.* The renewable chemical production tax credit pursuant~~
25 ~~to subchapter II, part 12, and the sustainable aviation fuel~~
26 ~~production tax credit program pursuant to subchapter II, part~~
27 ~~36. In allocating tax credits pursuant to this subsection, the~~
28 ~~authority shall allocate ten million dollars for purposes of~~
29 ~~this paragraph, and the board shall determine the tax credit~~
30 ~~amount allocated to each program specified in this paragraph~~
31 ~~for each fiscal year.~~

32 ~~*c.* The research and development tax credit program pursuant~~
33 ~~to subchapter II, part 35. In allocating tax credits pursuant~~
34 ~~to this subsection, the authority shall allocate forty million~~
35 ~~dollars for purposes of this paragraph.~~

1 d. The business incentives for growth program administered
2 pursuant to subchapter II, part 33. In allocating tax credits
3 pursuant to this subsection for the fiscal year beginning July
4 1, 2026, and for each fiscal year thereafter, the authority
5 shall not allocate more than fifty million dollars for purposes
6 of this paragraph.

7 e. (1) The high quality jobs program administered pursuant
8 to chapter 15, subchapter II, part 13, and the business
9 incentives for growth program administered pursuant to chapter
10 15, subchapter II, part 33. In allocating tax credits pursuant
11 to this subsection, the authority shall allocate fifty million
12 dollars in the aggregate for purposes of this paragraph, by
13 allocating tax credits to the high quality jobs program prior
14 to January 1, 2026, and by allocating the remaining tax credits
15 to the business incentives for growth program on or after
16 January 1, 2026.

17 (2) This paragraph is repealed July 1, 2026.

18 ~~4. 3.~~ The authority shall submit to the department of
19 revenue on or before August 15 of each year a report on ~~the tax~~
20 ~~credits allocated pursuant to this section~~ and the tax credits
21 awarded under each of the programs described in [subsection 2](#).

22 DIVISION II

23 ECONOMIC DEVELOPMENT PROGRAMS — TAX CREDIT LIMITS

24 CONFORMING CHANGES

25 Sec. 2. Section 15.293A, subsection 6, Code 2025, is amended
26 to read as follows:

27 ~~6. The amount of tax credits that may be awarded by the~~
28 ~~board shall be subject to the limitation in section 15.119~~
29 Except as provided in section 15.293B, subsection 6, the board
30 shall not award in any one fiscal year an amount of tax credits
31 that exceeds fifteen million dollars.

32 Sec. 3. Section 15.293B, subsection 6, Code 2025, is amended
33 to read as follows:

34 6. a. (1) Tax credits revoked under [subsection 3](#) including
35 tax credits revoked up to five years prior to July 1, 2021, and

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1 tax credits not awarded under subsection 4 or 5, may be awarded
2 in the next annual application period established in subsection
3 1, paragraph "c".

4 (2) Any amount of tax credits authorized and awarded during
5 a fiscal year which are irrevocably declined by the awarded
6 investor on or before June 30 of the immediately succeeding
7 fiscal year may be awarded in the next annual application
8 period established in subsection 1, paragraph "c".

9 b. Tax credits awarded pursuant to paragraph "a" shall not
10 be counted against the limit under section 15.119, subsection 3
11 15.293A, subsection 6.

12 Sec. 4. Section 15.318, subsection 3, paragraph e, Code
13 2025, is amended to read as follows:

14 e. In each fiscal year beginning on or after July 1, 2023
15 2025, and ending on or before June 30, 2036, the authority may
16 award an amount of tax credits under the program not to exceed
17 the maximum aggregate amount allocated in determined by the
18 board pursuant to section 15.119, subsection 2, paragraph "h"
19 "b".

20 Sec. 5. Section 15.354, subsection 2, paragraph a, Code
21 2025, is amended to read as follows:

22 a. All completed applications shall be reviewed and
23 scored on a competitive basis by the authority pursuant to
24 rules adopted by the authority. In scoring applications, the
25 authority may award additional points for all of the following:

26 (1) A housing project located in a community where no
27 housing project has been awarded a tax incentive under the
28 program in the immediately preceding three application periods.

29 (2) A housing project located in a community where a recent
30 or planned business expansion, or a new business, has received
31 a tax incentive or financial assistance under the high quality
32 jobs program administered pursuant to subchapter II, part 13,
33 the major economic growth attraction program administered
34 pursuant to subchapter II, part 32, or the business incentives
35 for growth program administered pursuant to subchapter II, part

1 33.

2 Sec. 6. Section 15.354, subsection 4, Code 2025, is amended
3 by striking the subsection and inserting in lieu thereof the
4 following:

5 4. *Maximum tax incentives amount.*

6 a. (1) In the fiscal year beginning July 1, 2025, and
7 ending June 30, 2026, the authority shall not award an amount
8 of tax credits in excess of thirty-nine million five hundred
9 thousand dollars.

10 (2) In the fiscal year beginning July 1, 2026, and ending
11 June 30, 2027, the authority shall not award an amount of tax
12 credits in excess of thirty-six million five hundred thousand
13 dollars.

14 (3) In the fiscal year beginning July 1, 2027, and for each
15 fiscal year thereafter, the authority shall not award an amount
16 of tax credits in excess of thirty-five million dollars.

17 b. Of the tax credits allocated under paragraph "a", fifty
18 percent of the allocation available in each fiscal year shall
19 be reserved for allocation to qualified housing projects in
20 small cities.

21 c. Notwithstanding paragraph "b", if the sum of the amount
22 of tax incentives awarded in a given fiscal year for housing
23 projects located in small cities based on the authority's
24 review and scoring of applications does not exceed the amount
25 reserved for housing projects located in small cities pursuant
26 to paragraph "b", the authority may award the remaining amount
27 of tax incentives reserved for housing projects located in
28 small cities to other housing projects during that same fiscal
29 year.

30 d. Tax credits revoked by the authority or irrevocably
31 declined by a housing business before June 30 of the fiscal
32 year following the award may be awarded during the fiscal year
33 the revocation or declination occurs. Tax credits awarded
34 pursuant to this paragraph shall not be counted against the tax
35 credit limit established in paragraph "a".

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1 e. The maximum aggregate amount of tax incentives that
2 may be awarded and issued under section 15.355 to a housing
3 business for a housing project shall not exceed one million
4 dollars.

5 f. If a housing business qualifies for a higher amount
6 of tax incentives under section 15.355 than is allowed by
7 the limitation imposed in paragraph "e", the authority and
8 the housing business may negotiate an apportionment of the
9 reduction in tax incentives between the sales tax refund
10 provided in section 15.355, subsection 2, and the workforce
11 housing investment tax credits provided in section 15.355,
12 subsection 3, provided the total aggregate amount of tax
13 incentives after the apportioned reduction does not exceed the
14 amount in paragraph "e".

15 g. The authority shall issue tax incentives under the
16 program on a first-come, first-served basis until the maximum
17 amount of tax incentives allowed under paragraph "a" is reached.

18 Sec. 7. Section 15.354, subsection 6, paragraph d, Code
19 2025, is amended to read as follows:

20 d. The authority shall administer tax credit allocations
21 for disaster recovery housing projects separately from the
22 ~~general allocation and separately from the allocation reserved~~
23 ~~for small cities in section 15.119, subsection 2, paragraph~~
24 ~~"g". The authority shall issue tax incentives under the~~
25 ~~program for disaster recovery housing projects on a first-come,~~
26 ~~first-served basis until the maximum amount of tax incentives~~
27 ~~allocated under section 15.119, subsection 5, is reached. The~~
28 ~~authority shall maintain a list of disaster recovery housing~~
29 ~~projects awarded tax incentives under the program, so that if~~
30 ~~the maximum aggregate amount of tax incentives allocated for~~
31 ~~disaster recovery housing projects under the program is reached~~
32 ~~in a given fiscal year, such disaster recovery housing projects~~
33 ~~that were completed but for which tax incentives were not~~
34 ~~issued shall be placed on a wait list in the order the disaster~~
35 ~~recovery housing projects were awarded tax incentives pursuant~~

1 ~~to paragraph "c", and shall be given priority for receiving~~
2 ~~tax incentives in succeeding fiscal years~~ maximum tax credit
3 amounts specified in section 15.354, subsection 4, paragraphs
4 "a" and "b".

5 DIVISION III

6 BUSINESS INCENTIVES FOR GROWTH PROGRAM

7 Sec. 8. NEW SECTION. 15.111 **Assistance for certain programs**
8 **and projects.**

9 1. a. Under the authority provided in section 15.106A,
10 there shall be established one or more funds within the state
11 treasury, under the control of the authority, to be used for
12 purposes of this section.

13 b. A fund established for purposes of this section shall
14 consist of any moneys appropriated to the authority for
15 purposes of this section, or moneys otherwise accruing to
16 the authority and deposited in the fund for purposes of this
17 section.

18 c. Interest or earnings on moneys in a fund used for the
19 purposes of this section, and all repayments or recaptures of
20 the assistance provided under this section, shall accrue to
21 the authority and shall be used for purposes of this section,
22 notwithstanding section 12C.7. Moneys in a fund are not
23 subject to section 8.33.

24 2. a. The moneys in a fund established for purposes of
25 this section, as described in subsection 1, shall be allocated
26 by the authority in appropriate amounts to be used for the
27 following purposes:

28 (1) For program support. For purposes of this subparagraph,
29 "*program support*" means the services necessary for the efficient
30 administration of a program administered by the authority,
31 including but not limited to administrative costs, conducting a
32 statewide laborshed study in coordination with the department
33 of workforce development, outreach to business and marketing
34 programs, the procurement of technical assistance, and the
35 implementation of information technology.

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1 (2) For deposit in the innovation and commercialization
2 development fund created pursuant to section 15.412.

3 (3) For providing financial assistance to businesses
4 engaged in disaster recovery. For purposes of this
5 subparagraph, "*business engaged in disaster recovery*" means
6 a business located in an area declared a disaster area by a
7 federal official, that has sustained physical damage, has
8 closed as a result of a natural disaster, and has a plan for
9 reopening that includes employing a substantial number of the
10 employees the business employed before the natural disaster
11 occurred.

12 (4) For deposit in the entrepreneur investment awards
13 program fund pursuant to section 15E.363.

14 (5) For deposit in a fund created for purposes of the
15 strategic infrastructure program established pursuant to
16 section 15.313.

17 (6) For deposit in the nuisance property remediation fund
18 established pursuant to section 15.338.

19 (7) For deposit in the community catalyst building
20 remediation fund established pursuant to section 15.231.

21 (8) For providing financial assistance to eligible
22 businesses for the business incentives for growth program
23 pursuant to section 15.504.

24 **b.** Each fiscal year, the authority shall estimate the
25 amount of revenues available for purposes of this section and
26 shall develop a budget appropriate for the expenditure of the
27 revenues available.

28 Sec. 9. NEW SECTION. 15.502 **Short title.**

29 This part shall be known and may be cited as the "*Business*
30 *Incentives for Growth Program*" or "*BIG Program*".

31 Sec. 10. NEW SECTION. 15.503 **Definitions.**

32 As used in this part, unless the context otherwise requires:

33 1. "*Base employment level*" means the number of full-time
34 equivalent positions at a business, as established by the
35 authority and the business using the business's payroll

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1 records, as of the date the business applies for tax incentives
2 under the program.

3 2. "*Benefits*" means nonwage compensation provided to an
4 employee. "*Benefits*" include medical and dental insurance, a
5 pension, a retirement plan, a profit-sharing plan, child care,
6 life insurance, vision insurance, and disability insurance.

7 3. "*Community*" means a city, county, or entity established
8 pursuant to chapter 28E.

9 4. "*Contract completion*" means the date of completion of
10 the terms of a contract between a contractor and an eligible
11 business.

12 5. "*Contractor*" means a person that has executed a contract
13 with an eligible business for the provision of property,
14 materials, or services for the construction or equipping of a
15 facility that is part of the eligible business's project.

16 6. "*Created jobs*" or "*create jobs*" means new, permanent,
17 full-time equivalent positions added to an eligible business's
18 payroll, at the location of the eligible business's project, in
19 excess of the eligible business's base employment level.

20 7. "*Data center business*" means the same as defined in
21 section 423.3, subsection 95.

22 8. "*Eligible business*" means a business that meets the
23 requirements of section 15.504.

24 9. "*Full-time equivalent position*" means a non-part-time
25 position for the number of hours or days per week considered
26 to be full-time work for the kind of service or work performed
27 for an employer. Typically, a full-time equivalent position
28 requires two thousand eighty hours of work in a calendar year,
29 including all paid holidays, vacations, sick time, and other
30 paid leave.

31 10. "*Program*" means the business incentives for growth
32 program.

33 11. "*Project*" means an activity or set of activities
34 directly related to the start-up, location, modernization, or
35 expansion of an eligible business and proposed in an eligible

1 business's application to the program, that will accomplish the
2 goals of the program.

3 12. "*Project completion date*" means the date by which an
4 eligible business that has been approved by the authority to
5 participate in the program agrees to complete the terms and
6 conditions of the agreement under section 15.506.

7 13. "*Project completion period*" means the period of time
8 between the date the authority approves an eligible business to
9 participate in the program and the project completion date.

10 14. "*Qualifying investment*" means a capital investment
11 in real property, including the purchase price of the land
12 and existing buildings and structures, site preparation,
13 improvements to the real property, building construction, and
14 long-term lease costs. "*Qualifying investment*" also means
15 a capital investment in depreciable assets for use in the
16 operation of an eligible business.

17 15. "*Qualifying wage threshold*" means the mean wage level
18 represented by the wages within two standard deviations of
19 the mean wage within the laborshed area in which the eligible
20 business is located, as calculated by the authority by rule,
21 using the most current covered wage and employment data
22 available from the department of workforce development for the
23 laborshed area in which the eligible business is located.

24 16. "*Retained job*" means a full-time equivalent position
25 that is in existence at the time an eligible business applies
26 for the program that remains continuously filled, and that is
27 at risk of elimination if the proposed project for which the
28 eligible business is applying to the program does not proceed.

29 17. "*Subcontractor*" means a person that contracts with
30 a contractor for the provision of property, materials, or
31 services for the construction or equipping of a facility that
32 is part of an eligible business's project.

33 18. "*Tax incentives*" means tax credits, tax refunds, or tax
34 exemptions authorized under the program by the authority for an
35 eligible business.

1 Sec. 11. NEW SECTION. 15.504 Eligible business.

2 1. To be eligible to receive tax incentives under
3 the program, a business must meet all of the following
4 requirements:

5 a. The community in which the proposed project is located
6 must approve the project either by ordinance or resolution.

7 b. (1) The business must be primarily engaged in advanced
8 manufacturing, bioscience, insurance and finance, or technology
9 and innovation. The business shall not be a data center
10 business, a retail business, or a business where a cover charge
11 or membership requirement restricts certain individuals from
12 entering the business.

13 (2) Factors the authority shall consider to determine if
14 a business is primarily engaged in advanced manufacturing,
15 biosciences, insurance and finance, or technology and
16 innovation shall include but are not limited to all of the
17 following:

18 (a) The business's North American industry classification
19 system code.

20 (b) The business's main sources of revenue.

21 (c) The business's customer base.

22 c. (1) The business must not be solely relocating
23 operations from one area of the state to another area of
24 the state. A proposed project that does not create jobs or
25 involve a substantial amount of new capital investment shall
26 be presumed to be a relocation of operations. For purposes of
27 this subparagraph, the authority shall consider a letter from
28 the affected local community's government officials supporting
29 the business's move away from the affected local community
30 in making a determination whether the business is solely
31 relocating operations.

32 (2) This paragraph shall not be construed to prohibit
33 a business from expanding the business's operations in a
34 community if the business has similar operations in this state
35 that are not closing or undergoing a substantial reduction in

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1 operations.

2 *d.* The business must offer comprehensive benefits to each
3 full-time equivalent employee employed at the project. The
4 authority may adopt rules under chapter 17A to determine the
5 procedure for establishing requirements for comprehensive
6 benefits.

7 *e.* (1) The business must not have a record of violations of
8 the law or of rules, including but not limited to antitrust,
9 environmental, trade, or worker safety, that over a period of
10 time show a consistent pattern or that establish the business's
11 intentional, criminal, or reckless conduct in violation of such
12 laws or rules.

13 (2) If the authority determines that the business has a
14 record of violations described in subparagraph (1), and the
15 authority finds that the violations did not seriously affect
16 public health, public safety, or the environment, the business
17 may be eligible to qualify for the program.

18 (3) If the authority determines that the business has
19 a record of violations described in subparagraph (1), and
20 the authority finds that there were mitigating circumstances
21 related to the violations, the business may be eligible to
22 qualify for the program.

23 (4) In making determinations and findings under
24 subparagraphs (2) and (3), and making a determination whether a
25 business is disqualified from the program, the authority shall
26 be exempt from chapter 17A.

27 2. In determining if a business is eligible to participate
28 in the program, the authority shall consider a variety of
29 factors, including but not limited to all of the following:

30 *a.* The impact of the business's proposed project on
31 businesses that are in competition with the business.
32 The authority shall make a good-faith effort to identify
33 existing Iowa businesses in competition with the business
34 being considered for the program. The authority shall make
35 a good-faith effort to determine the probability that any

1 proposed tax incentives will displace employees of the
2 competing businesses.

3 *b.* The business's proposed project's economic impact on
4 the state. The authority shall place greater emphasis on
5 businesses and proposed projects that meet the following
6 requirements:

7 (1) The business has a high proportion of in-state
8 suppliers.

9 (2) The proposed project will diversify the state economy.

10 (3) The business has few in-state competitors.

11 (4) The proposed project has the potential to create jobs on
12 an ongoing basis, or will result in increased skills and wages
13 for employees of the eligible business.

14 (5) The proposed project has the potential to increase
15 productivity, efficiency, and competitiveness through adoption
16 and integration of smart technologies including specialized
17 hardware, software, or other equipment.

18 (6) The proposed project has the potential to increase the
19 state's overall gross domestic product.

20 (7) Any other factors the authority deems relevant in
21 determining the economic impact of a proposed project.

22 Sec. 12. NEW SECTION. 15.505 Applications — authorization
23 of tax credits and exemptions.

24 1. *a.* Applications for the program shall be submitted
25 to the authority in the form and manner prescribed by the
26 authority by rule. Each application must be accompanied by an
27 application fee in an amount determined by the authority by
28 rule.

29 *b.* For a proposed project that will result in elevated
30 water consumption by the business, the application shall be
31 accompanied by a water conservation and waste reduction plan,
32 and shall be submitted to the authority in the form and manner
33 prescribed by the authority by rule.

34 2. In determining the eligibility of a business to
35 participate in the program, the authority may engage outside

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1 experts to complete a technical, financial, or other review of
2 an application submitted by a business.

3 3. *a.* The authority and the board may negotiate with an
4 eligible business regarding the terms of, and the aggregate
5 value of, the tax incentives the eligible business may receive
6 under the program. The maximum aggregate value of the tax
7 incentives that any one eligible business may receive shall
8 not exceed five percent of the eligible business's qualifying
9 investment, unless the eligible business's project is located
10 in a rural county, in which case the maximum aggregate value
11 of tax incentives that any one eligible business may receive
12 shall not exceed seven and one-half percent of the eligible
13 business's qualifying investment. For purposes of this
14 paragraph, "*rural county*" means a county in the state with a
15 population of twenty thousand or less based on the most recent
16 decennial census released by the United States census bureau.
17 *b.* The board may authorize any combination of tax incentives
18 available under the program for an eligible business.

19 4. The board shall not authorize an award under this part
20 before January 1, 2026.

21 Sec. 13. NEW SECTION. **15.506 Agreement.**

22 1. An eligible business that is approved by the authority to
23 participate in the program shall enter into an agreement with
24 the authority that specifies the criteria for the successful
25 completion of all requirements of the program. The agreement
26 must contain, at a minimum, provisions related to all of the
27 following:

28 *a.* The eligible business must certify to the authority
29 annually that the business is in compliance with the agreement.

30 *b.* If the eligible business fails to comply with any
31 requirements of the program or the agreement, as determined
32 by the authority, the eligible business may be required to
33 repay any tax incentives the authority issued to the eligible
34 business. After a final determination by the authority, the
35 authority will notify the department of revenue of any required

1 repayment of a tax incentive, which shall be considered a
2 tax payment due and payable to the department of revenue by
3 any taxpayer that claimed the tax incentive, and the failure
4 to make the repayment may be treated by the department of
5 revenue in the same manner as a failure to pay the tax shown
6 due, or required to be shown due, with the filing of a return
7 or deposit form. A county shall have the authority to take
8 action to recover the value of property taxes not collected as
9 a result of the exemption provided to the business under this
10 part.

11 c. If the eligible business undergoes a layoff or
12 permanently closes any of its facilities within the state, the
13 eligible business may be subject to all of the following:

14 (1) A reduction or elimination of some or all of the tax
15 incentives the authority issued to the eligible business.

16 (2) Repayment of any tax incentives that the business
17 has claimed, and payment of any penalties assessed by the
18 department of revenue.

19 d. The project completion date, the agreement end date,
20 the base employment level, any retained jobs, the number of
21 created jobs, the qualifying wage threshold that is applicable
22 to the project, the amount of qualifying investment, the
23 maximum aggregate value of the tax incentives authorized by the
24 board, and any other terms and obligations the authority deems
25 necessary or material to the determination of the business's
26 eligibility for the program, or the aggregate value of tax
27 incentives approved by the board.

28 e. The eligible business shall only employ individuals
29 legally authorized to work in this state. If the eligible
30 business is found to knowingly employ individuals who are
31 not legally authorized to work in this state, in addition
32 to any penalties provided by law, all or a portion of any
33 tax incentives issued by the authority shall be subject
34 to repayment as described in section 15.506, subsection 1,
35 paragraph "b".

1 *f.* Any terms deemed necessary by the authority to effect the
2 eligible business's ongoing compliance with section 15.504.

3 2. The business shall satisfy all applicable terms of
4 the agreement by the project completion date; however, the
5 board may for good cause extend the project completion date or
6 otherwise amend the terms of the agreement. The board shall
7 not amend the terms of the agreement to allow an increase in
8 the maximum aggregate value of the tax incentives authorized by
9 the board under section 15.505, subsection 3.

10 3. The eligible business shall comply with all applicable
11 terms of the agreement until the agreement end date. An
12 eligible business shall maintain the business's base employment
13 level until the agreement end date.

14 4. The eligible business shall not assign the agreement
15 to another entity without the advance written approval of the
16 board.

17 5. The authority may enforce the terms of the agreement as
18 necessary and appropriate.

19 Sec. 14. NEW SECTION. **15.507 Sales and use tax refund.**

20 1. An eligible business that has been issued a tax incentive
21 certificate under the program shall be entitled to a refund,
22 as negotiated under section 15.505, subsection 3, of the sales
23 and use taxes paid under chapter 423 for gas, electricity,
24 water, and sewer utility services, tangible personal property,
25 or on services rendered, furnished, or performed to or for
26 a contractor or subcontractor and used in the fulfillment
27 of a written contract for the construction or equipping of
28 a facility that is part of the eligible business's project.
29 Taxes attributable to intangible property and furniture and
30 furnishings shall not be refunded.

31 2. To receive the sales and use tax refund, the eligible
32 business shall file a claim with the department of revenue as
33 follows:

34 *a.* The contractor or subcontractor shall state under oath,
35 on forms provided by the department of revenue, the amount of

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1 the sales of tangible personal property or services rendered,
2 furnished, or performed including water, sewer, gas, and
3 electric utility services upon which sales or use tax has been
4 paid during the period for which the refund is claimed, and
5 shall submit the forms to the eligible business before contract
6 completion.

7 *b.* The eligible business shall, no more frequently than
8 quarterly, submit an application to the department of revenue
9 for a refund of the amount of the sales and use taxes paid
10 pursuant to chapter 423 upon any tangible personal property, or
11 services rendered, furnished, or performed, including water,
12 sewer, gas, and electric utility services. The application
13 shall be submitted in the form and manner prescribed by the
14 department of revenue. The department of revenue shall audit
15 the application and, if approved, issue a warrant or warrants
16 to the eligible business in the amount of the sales or use tax
17 which has been paid to the state of Iowa under subsection 1.
18 The eligible business's final application must be submitted to
19 the department of revenue within one year after the project
20 completion date. An application filed by the eligible business
21 in accordance with this section shall not be denied by reason
22 of a time limitation for filing a refund claim set forth in
23 section 423.47.

24 *c.* The refund shall be remitted by the department of
25 revenue to the eligible business as soon as practicable after
26 completion of the audit pursuant to paragraph "b". Interest
27 shall not accrue on any part of the refund that has not yet been
28 remitted by the department of revenue to the eligible business.

29 3. A contractor or subcontractor that willfully makes a
30 false report of tax paid under this section is guilty of an
31 aggravated misdemeanor, and shall be liable for payment of the
32 tax and any applicable penalty and interest.

33 Sec. 15. NEW SECTION. 15.508 Qualifying investment tax
34 credit.

35 1. The authority may authorize a tax credit for an eligible

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1 business pursuant to section 15.505, subsection 3. The
2 authority shall not issue a tax credit certificate to the
3 eligible business until the eligible business's project or a
4 portion of the project has been placed in service. An eligible
5 business may claim the tax credit authorized and issued by the
6 authority. The tax credit shall be amortized to the eligible
7 business equally over five tax years. The tax credit shall be
8 allowed against taxes imposed under chapter 422, subchapter II,
9 III, or V, and against the moneys and credits tax imposed in
10 section 533.329. If the eligible business is a partnership, S
11 corporation, limited liability company, cooperative organized
12 under chapter 501 and filing as a partnership for federal tax
13 purposes, or estate or trust electing to have the income taxed
14 directly to the individual, an individual may claim the tax
15 credit allowed. The amount claimed by the individual shall
16 be based upon the pro rata share of the individual's earnings
17 of the partnership, S corporation, limited liability company,
18 cooperative organized under chapter 501 and filing as a
19 partnership for federal tax purposes, or estate or trust. Any
20 tax credit in excess of the eligible business's tax liability
21 for the tax year may be refunded. In lieu of claiming a refund,
22 an eligible business may elect to have the overpayment shown
23 on the eligible business's final, completed return credited
24 to the eligible business's tax liability for the immediately
25 succeeding tax year. A tax credit shall not be carried back
26 to a tax year prior to the tax year in which the tax credit is
27 first claimed by the eligible business.

28 2. If within five years of the date the authority issues
29 an eligible business a tax credit under subsection 1 the
30 eligible business sells, disposes of, razes, or otherwise
31 renders unusable all or a part of the land, buildings, or
32 other structures for which the tax credit was claimed under
33 this section, the tax liability of the eligible business for
34 the year in which all or part of the land, buildings, or other
35 existing structures are sold, disposed of, razed, or otherwise

1 rendered unusable shall be increased by one of the following
2 amounts:

3 *a.* One hundred percent of the tax credit claimed under
4 this section if all or a part of the land, buildings, or other
5 structures for which the tax credit was claimed under this
6 section cease to be eligible for the tax credit within one
7 year after the date the authority issued the tax credit to the
8 eligible business.

9 *b.* Eighty percent of the tax credit claimed under this
10 section if all or a part of the land, buildings, or other
11 structures for which the tax credit was claimed under this
12 section cease to be eligible for the tax credit within two
13 years after the date the authority issued the tax credit to the
14 eligible business.

15 *c.* Sixty percent of the tax credit claimed under this
16 section if all or a part of the land, buildings, or other
17 structures for which the tax credit was claimed under this
18 section cease to be eligible for the tax credit within three
19 years after the date the authority issued the tax credit to the
20 eligible business.

21 *d.* Forty percent of the tax credit claimed under this
22 section if all or a part of the land, buildings, or other
23 structures for which the tax credit was claimed under this
24 section cease to be eligible for the tax credit within four
25 years after the date the authority issued the tax credit to the
26 eligible business.

27 *e.* Twenty percent of the tax credit claimed under this
28 section if all or a part of the land, buildings, or other
29 structures for which the tax credit was claimed under this
30 section cease to be eligible for the tax credit within five
31 years after the date the authority issued the tax credit to the
32 eligible business.

33 *f.* Except as provided in section 15.119, subsection 1,
34 paragraph "b", the board shall not authorize for any one fiscal
35 year an amount of tax credits pursuant to this section that

1 exceeds the amount allocated pursuant to section 15.119,
2 subsection 2.

3 Sec. 16. NEW SECTION. 15.509 **Other incentives.**

4 1. An eligible business may apply for and be eligible to
5 receive other federal, state, and local incentives in addition
6 to the tax incentives issued by the authority to the eligible
7 business under the program.

8 2. The authority, in its discretion, may prohibit an
9 eligible business that has been issued tax incentives under
10 the program from receiving any additional tax incentive, tax
11 credit, grant, loan, or other financial assistance under any
12 program administered by the authority.

13 Sec. 17. NEW SECTION. 15.510 **Property tax exemption.**

14 1. If an eligible business has been authorized by the board
15 to receive tax incentives under the program, a community in
16 which the eligible business's project is located may grant the
17 eligible business a property tax exemption for a portion of the
18 actual value added by improvements to real property through the
19 project. The community may allow a property tax exemption for
20 a period not to exceed ten years beginning the year that the
21 improvements to real property are first assessed for taxation.

22 2. For purposes of this section, "*improvements*" means new
23 construction, and rehabilitation of and additions to existing
24 structures.

25 3. A property tax exemption granted under subsection 1 shall
26 apply to all taxing districts, except for school districts, in
27 which the real property is located.

28 Sec. 18. NEW SECTION. 15.511 **Financial assistance for**
29 **certain eligible businesses.**

30 1. The authority may provide financial assistance to an
31 eligible business pursuant to section 15.111, subsection 2,
32 paragraph "a", subparagraph (8), if the authority and the board
33 find such assistance necessary to facilitate the project's
34 successful completion, that the project has an extensive
35 economic impact, or that financial assistance will incentivize

1 an eligible business to choose an Iowa location, rather than an
2 out-of-state location, for the project.

3 2. Each eligible business receiving assistance under this
4 section shall enter into an agreement with the authority and
5 the agreement shall meet the requirements of section 15.506.
6 The agreement shall specify the circumstances under which the
7 financial assistance must be repaid to the authority.

8 3. If the authority and the board determine financial
9 assistance should be awarded, the authority and the board shall
10 determine the appropriate amount and type of assistance for
11 facilitating the eligible business's project.

12 4. For purposes of this section, "*financial assistance*"
13 means assistance provided exclusively from the funds, rights,
14 and assets legally available to the authority pursuant to this
15 chapter and includes but is not limited to assistance in the
16 form of grants, loans, forgivable loans, and royalty payments.

17 Sec. 19. CODE EDITOR DIRECTIVE. The Code editor is directed
18 to designate sections 15.502 through 15.511, as enacted in this
19 division of this Act, as part 33 of subchapter II.

20 Sec. 20. EFFECTIVE DATE. This division of this Act, being
21 deemed of immediate importance, takes effect upon enactment.

22 DIVISION IV

23 ELIMINATION OF THE HIGH QUALITY JOBS PROGRAM

24 Sec. 21. REPEAL. Sections 15.326, 15.327, 15.329, 15.330,
25 15.330A, 15.331A, 15.331C, 15.332, 15.333, 15.333A, 15.335,
26 15.335A, 15.335B, 15.335C, and 15.336, Code 2025, are repealed.

27 Sec. 22. TRANSITION PROVISIONS.

28 1. An agreement entered into on or before December 31, 2025,
29 by a business and the economic development authority pursuant
30 to section 15.330, Code 2025, or amended pursuant to section
31 15.330A, Code 2025, shall be valid and continue per the terms
32 of the agreement.

33 2. On the effective date of this division of this Act, all
34 moneys appropriated by the general assembly to the authority
35 for purposes of section 15.335B shall remain available to

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1 the authority for purposes of section 15.111, as enacted by
2 this Act. Notwithstanding section 8.33, moneys transferred
3 in accordance with this section that remain unencumbered or
4 unobligated at the close of the fiscal year shall not revert
5 but shall remain available for expenditure for the purposes
6 designated until the close of the succeeding fiscal year.

7 Sec. 23. PRESERVATION OF EXISTING RIGHTS. This division of
8 this Act shall not limit, modify, or otherwise adversely affect
9 any amount of tax incentive issued, awarded, or allowed before
10 December 31, 2025, nor shall it limit, modify, or otherwise
11 adversely affect a taxpayer's right to claim or redeem a tax
12 incentive issued, awarded, or allowed before December 31, 2025,
13 including but not limited to any tax credit carry forward
14 amount.

15 Sec. 24. EFFECTIVE DATE. This division of this Act takes
16 effect December 31, 2025.

17 DIVISION V

18 HIGH QUALITY JOBS PROGRAM

19 CONFORMING CHANGES

20 Sec. 25. Section 2.48, subsection 3, paragraph a,
21 subparagraph (1), Code 2025, is amended by striking the
22 subparagraph.

23 Sec. 26. Section 2.48, subsection 3, paragraph a,
24 subparagraph (2), Code 2025, is amended to read as follows:

25 (2) The tax credits for increasing research activities
26 available under sections ~~15.335~~, 422.10, and 422.33.

27 Sec. 27. Section 8G.3, subsection 8, Code 2025, is amended
28 to read as follows:

29 8. "*Tax exemption or credit*" means an exclusion from
30 the operation or collection of a tax imposed in this state.
31 Tax exemption or credit includes tax credits, exemptions,
32 deductions, and rebates. "*Tax exemption or credit*" also
33 includes sales tax refunds if such refunds are applied for and
34 granted as a form of financial assistance, including but not
35 limited to the refunds allowed in sections ~~15.331A~~ 15.507 and

1 423.4.

2 Sec. 28. Section 15.106B, subsection 5, paragraph b, Code
3 2025, is amended to read as follows:

4 b. Fees collected by the authority pursuant to this
5 subsection shall be deposited in a fund within the state
6 treasury created pursuant to [section 15.106A, subsection 1](#),
7 paragraph "o", and are appropriated to the authority for the
8 purposes set out in [section 15.106A, subsection 1](#), paragraph
9 "o". However, fees collected by the authority pursuant to
10 section 15.330, subsection 12, ~~section 15E.198, Code 2014, Code~~
11 2025, and [section 15.354, subsection 3](#), paragraph "b", shall be
12 used exclusively for costs associated with the administration
13 of due diligence and compliance.

14 Sec. 29. Section 15.293B, subsection 3, Code 2025, is
15 amended to read as follows:

16 3. If an investor is awarded a tax credit pursuant to this
17 section, the authority and the investor shall enter into an
18 agreement concerning the qualifying redevelopment project. If
19 the investor fails to comply with any of the requirements of
20 the agreement, the authority may find the investor in default
21 under the agreement and may revoke all or a portion of the tax
22 credit award. ~~The department of revenue, upon notification by~~
23 ~~the authority of an event of default, shall seek repayment of~~
24 ~~the value of any such tax credit already claimed in the same~~
25 ~~manner as provided in section 15.330, subsection 2. After~~
26 a final determination by the authority, the authority shall
27 notify the department of revenue of any required repayment or
28 recapture of a tax credit. The repayment or recapture of a
29 tax credit pursuant to this subsection shall be considered a
30 tax payment due and payable to the department of revenue by
31 any taxpayer who has claimed the tax credit, and the failure
32 to make such a repayment may be treated by the department of
33 revenue in the same manner as a failure to pay the tax shown
34 due or required to be shown due with the filing of a return or
35 deposit form.

1 Sec. 30. Section 15.317, subsection 5, Code 2025, is amended
2 to read as follows:

3 5. The business shall not be relocating or reducing
4 operations as ~~described in section 15.329, subsection 1,~~
5 ~~paragraph "b"~~ follows, and as determined under the discretion
6 of the authority.:

7 a. The business shall not be solely relocating operations
8 from one area of the state. A project that does not create new
9 jobs or involve a substantial amount of new capital investment
10 shall be presumed to be a relocation. In determining whether a
11 business is solely relocating operations for purposes of this
12 paragraph, the authority shall consider a letter of support for
13 the move from the affected local community.

14 b. The business shall not be in the process of reducing
15 operations in one community while simultaneously applying for
16 the program. For purposes of this paragraph, a reduction in
17 operations within twelve months before or after an application
18 is submitted to the authority shall be presumed to be a
19 reduction in operations while simultaneously applying for
20 assistance under the program.

21 c. This subsection shall not be construed to prohibit
22 a business from expanding its operation in a community if
23 existing operations of a similar nature in this state are not
24 closed or substantially reduced.

25 Sec. 31. Section 15.318, subsection 2, paragraph b, Code
26 2025, is amended to read as follows:

27 ~~b. The compliance~~ Compliance cost fees ~~authorized in section~~
28 ~~15.330, subsection 12,~~ shall apply to all agreements entered
29 into under this program and shall be collected by the authority
30 ~~in the same manner and to the same extent as described in that~~
31 ~~subsection.~~ in the amount and manner as follows:

32 (1) The imposition of a one-time compliance cost fee of five
33 hundred dollars to be collected by the authority prior to the
34 issuance of a tax incentive certificate.

35 (2) The imposition of a compliance cost fee equal to

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1 one-half of one percent of the value of tax incentives claimed
2 pursuant to an agreement that has an aggregate tax incentive
3 value of one hundred thousand dollars or greater. The
4 authority shall collect the fee from the business after the
5 tax incentive is claimed by the business from the department
6 of revenue.

7 Sec. 32. Section 15.318, subsection 4, Code 2025, is amended
8 to read as follows:

9 4. *Termination and repayment.* The failure by an eligible
10 business in fulfilling any requirement of the program or any of
11 the terms and obligations of an agreement entered into pursuant
12 to this section may result in the reduction, termination, or
13 rescission of the tax credits under section 15.319 and may
14 subject the eligible business to the repayment or recapture of
15 tax credits claimed. ~~The repayment or recapture of tax credits~~
16 ~~pursuant to this subsection shall be accomplished in the same~~
17 ~~manner as provided in section 15.330, subsection 2.~~
18 After a final determination by the authority, the authority
19 shall notify the department of revenue of any required
20 repayment or recapture of a tax credit. The repayment or
21 recapture of a tax credit pursuant to this subsection shall be
22 considered a tax payment due and payable to the department of
23 revenue by any taxpayer who has claimed the tax credit, and
24 the failure to make such a repayment may be treated by the
25 department of revenue in the same manner as a failure to pay
26 the tax shown due or required to be shown due with the filing of
27 a return or deposit form.

28 Sec. 33. Section 15.354, subsection 1, paragraph b,
29 subparagraph (2), Code 2025, is amended to read as follows:

30 (2) ~~A report that meets the requirements and conditions~~
31 ~~of section 15.330, subsection 9~~ submitted to the authority
32 by a business together with its application describing all
33 violations of environmental law or worker safety law within
34 the last five years. If, upon review of the application, the
35 authority finds that the business has a record of violations

1 of the law, statutes, or rules that tends to show a consistent
2 pattern, the authority shall not provide incentives or
3 assistance to the business unless the authority finds either
4 that the violations did not seriously affect public health,
5 public safety, or the environment, or, if such violations
6 did seriously affect public health, public safety, or the
7 environment, that mitigating circumstances were present.

8 Sec. 34. Section 15.354, subsection 1, paragraph c, Code
9 2025, is amended to read as follows:

10 c. In addition to complying with all applicable requirements
11 in paragraph "b", a housing business that chooses to be
12 considered as an applicant for tax credits reserved pursuant
13 to ~~section 15.119, subsection 5,~~ for disaster recovery housing
14 projects shall also submit a certification that the applicant's
15 housing project is located in a county that has been declared
16 a major disaster by the president of the United States on or
17 after March 12, 2019, and is also a county in which individuals
18 are eligible for federal individual assistance. The housing
19 business must also submit documentation that provides evidence
20 that the qualified housing project is needed due to impact of
21 the disaster that is the subject of the presidential major
22 disaster declaration.

23 Sec. 35. Section 15.354, subsection 3, paragraph b, Code
24 2025, is amended to read as follows:

25 b. ~~The compliance~~ Compliance cost fees imposed in section
26 ~~15.330, subsection 12,~~ shall apply to all agreements entered
27 into under this program and shall be collected by the authority
28 ~~in the same manner and to the same extent as described in that~~
29 ~~subsection.~~ in the amount and manner as follows:

30 (1) The imposition of a one-time compliance cost fee of five
31 hundred dollars to be collected by the authority prior to the
32 issuance of a tax incentive certificate.

33 (2) The imposition of a compliance cost fee equal to
34 one-half of one percent of the value of tax incentives
35 available pursuant to an agreement that has an aggregate tax

1 incentive value of one hundred thousand dollars or greater.
2 The authority shall collect the fee from the housing business
3 prior to the issuance of a tax incentive.

4 Sec. 36. Section 15.354, subsection 5, Code 2025, is amended
5 to read as follows:

6 5. *Termination and repayment.* The failure by a housing
7 business in completing a housing project to comply with any
8 requirement of this program or any of the terms and obligations
9 of an agreement entered into pursuant to this section may
10 result in the revocation, reduction, termination, or rescission
11 of the tax incentive award or the approved tax incentives
12 and may subject the housing business to the repayment or
13 recapture of tax incentives claimed under section 15.355. ~~The~~
14 ~~repayment or recapture of tax incentives pursuant to this~~
15 ~~section shall be accomplished in the same manner as provided~~
16 ~~in section 15.330, subsection 2.~~ After a final determination
17 by the authority, the authority shall notify the department of
18 revenue of any required repayment or recapture of a tax credit.
19 The repayment or recapture of a tax credit pursuant to this
20 subsection shall be considered a tax payment due and payable
21 to the department of revenue by any taxpayer who has claimed
22 the tax credit, and the failure to make such a repayment may
23 be treated by the department of revenue in the same manner as
24 a failure to pay the tax shown due or required to be shown due
25 with the filing of a return or deposit form.

26 Sec. 37. Section 15.355, subsection 2, paragraph b,
27 subparagraph (3), subparagraph division (a), Code 2025, is
28 amended to read as follows:

29 (a) The housing business shall, after the agreement
30 completion date, make application to the department of revenue
31 for any refund of the amount of sales and use taxes paid under
32 chapter 423 prior to the completion of the housing project that
33 were directly related to a housing project and specified in the
34 agreement. The application shall be made in the manner and
35 upon forms to be provided by the department of revenue. The

1 department of revenue shall audit the claim and, if approved,
2 issue a warrant to the housing business. The application must
3 be made within one year after the agreement completion date.
4 A claim filed by the housing business in accordance with this
5 subsection shall not be denied by reason of a time limitation
6 provision for filing a refund claim set forth in ~~chapter 421~~
7 ~~or 423~~ section 423.47.

8 Sec. 38. Section 15.499, subsection 1, Code 2025, is amended
9 to read as follows:

10 1. Except for the ~~high quality jobs program administered~~
11 ~~by the authority pursuant to sections 15.326 through 15.336,~~
12 ~~and the targeted jobs withholding credit pursuant to section~~
13 403.19A, an eligible business may apply for and be eligible to
14 receive other federal, state, and local incentives in addition
15 to the tax incentives issued by the authority to the eligible
16 business under the program.

17 Sec. 39. Section 15E.351, subsection 1, Code 2025, is
18 amended to read as follows:

19 1. The authority shall establish and administer a business
20 accelerator program to provide financial assistance for
21 the establishment and operation of a business accelerator
22 for technology-based, value-added agricultural, information
23 solutions, alternative and renewable energy including the
24 alternative and renewable energy sectors listed in section
25 476.42, subsection 1, paragraph "a", subparagraph (1), or
26 advanced manufacturing start-up businesses or for a satellite
27 of an existing business accelerator. The program shall be
28 designed to foster the accelerated growth of new and existing
29 businesses through the provision of technical assistance. The
30 authority may provide financial assistance under this section
31 from moneys allocated for financial assistance for business
32 accelerators pursuant to section ~~15.335B, subsection 2~~ 15.111.

33 Sec. 40. Section 15E.362, subsection 1, paragraph c, Code
34 2025, is amended to read as follows:

35 c. "*Financial assistance*" means ~~the same as defined in~~

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1 ~~section 15.327~~ assistance provided only from the funds, rights,
2 and assets legally available to the authority pursuant to
3 chapter 15 and includes but is not limited to assistance in the
4 form of grants, loans, forgivable loans, and royalty payments.

5 Sec. 41. Section 15H.5, subsection 2, Code 2025, is amended
6 to read as follows:

7 2. The Iowa summer youth corps program is established
8 to provide meaningful summer enrichment programming to Iowa
9 youth. The program shall be administered by the commission
10 using a competitive grant process to implement projects in
11 accordance with program requirements. The commission shall
12 adopt administrative rules for the program, including but not
13 limited to incentives, grant criteria, and grantee selection
14 processes. A percentage of the grants shall be designated by
15 the commission to address the needs of economically distressed
16 areas as defined in ~~section 15.335C~~.

17 Sec. 42. Section 15H.5, subsection 5, paragraph c, Code
18 2025, is amended to read as follows:

19 c. The commission shall give priority consideration
20 to approving those projects that target communities that
21 have disproportionately high rates of juvenile crime or low
22 rates of high school graduation or that have been designated
23 as an economically distressed ~~areas as defined in section~~
24 ~~15.335C~~area.

25 Sec. 43. Section 15H.5, Code 2025, is amended by adding the
26 following new subsection:

27 NEW SUBSECTION. 7. For purposes of this section,
28 "*economically distressed area*" means a county that meets at
29 least three of the following criteria:

30 a. The county ranks among the thirty-three Iowa counties
31 with the highest average monthly unemployment rates for the
32 most recent twelve-month period based on the applicable local
33 area unemployment statistics produced by the United States
34 department of labor, bureau of labor statistics.

35 b. The county ranks among the thirty-three Iowa counties

1 with the highest average annualized unemployment rates for the
2 most recent five-year period based on the applicable local
3 area unemployment statistics produced by the United States
4 department of labor, bureau of labor statistics.

5 *c.* The county ranks among the thirty-three Iowa counties
6 with the lowest annual average weekly wages based on the most
7 recent quarterly census of employment and wages published
8 by the United States department of labor, bureau of labor
9 statistics.

10 *d.* The county ranks among the thirty-three Iowa counties
11 with the highest family poverty rates based on the most recent
12 American community survey five-year estimate released by the
13 United States census bureau.

14 *e.* The county ranks among the thirty-three Iowa counties
15 with the highest percentage population loss. Percentage
16 population loss shall be calculated by comparing the most
17 recent population estimate produced by the United States
18 census bureau to the most recent decennial census released
19 by the United States census bureau, except for a calendar
20 year in which the decennial census data is released, then the
21 percentage population loss shall be calculated by comparing the
22 population in the decennial census released that calendar year
23 to the population in the decennial census released ten years
24 prior.

25 *f.* The county ranks among the thirty-three Iowa counties
26 with the highest percentage of persons sixty-five years of age
27 or older based on the most recent American community survey
28 five-year estimate released by the United States census bureau.

29 Sec. 44. Section 159A.6B, subsection 2, Code 2025, is
30 amended to read as follows:

31 2. The office may execute contracts in order to provide
32 technical support and outreach services for purposes of
33 assisting and educating interested persons as provided in this
34 section. The office may also contract with a consultant to
35 provide part or all of these services. The office may require

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1 that a person receiving assistance pursuant to [this section](#)
2 contribute up to fifty percent of the amount required to
3 support the costs of contracting with the consultant to provide
4 assistance to the person. ~~The office shall assist the person~~
5 ~~in completing any technical information required in order~~
6 ~~to receive assistance by the economic development authority~~
7 ~~pursuant to section 15.335B.~~

8 Sec. 45. Section 422.10, subsection 5, Code 2025, is amended
9 by striking the subsection.

10 Sec. 46. Section 422.11F, subsection 2, Code 2025, is
11 amended to read as follows:

12 2. The taxes imposed under [this subchapter](#), less the credits
13 allowed under [section 422.12](#), shall be reduced by investment
14 tax credits authorized pursuant to ~~[section 15.333](#)~~ and ~~section~~
15 ~~15E.193B, subsection 6, Code 2014~~ sections 15.508 and 15.496.

16 Sec. 47. Section 422.33, subsection 5, paragraph h, Code
17 2025, is amended by striking the paragraph.

18 Sec. 48. Section 422.33, subsection 12, paragraph b, Code
19 2025, is amended to read as follows:

20 b. The taxes imposed under [this subchapter](#) shall be reduced
21 by investment tax credits authorized pursuant to ~~section 15.333~~
22 ~~and [section 15E.193B, subsection 6, Code 2014](#)~~ sections 15.508
23 and 15.496.

24 Sec. 49. Section 422.33, subsection 19, Code 2025, is
25 amended by striking the subsection.

26 Sec. 50. Section 422.60, subsection 5, paragraph b, Code
27 2025, is amended to read as follows:

28 b. The taxes imposed under [this subchapter](#) shall be reduced
29 by investment tax credits authorized pursuant to sections
30 ~~15.333 and 15E.193B, subsection 6, Code 2014~~ 15.508 and 15.496.

31 Sec. 51. Section 422.60, subsection 8, Code 2025, is amended
32 by striking the subsection.

33 Sec. 52. Section 427B.17, subsection 8, paragraph b, Code
34 2025, is amended to read as follows:

35 b. Any electric power generating plant which operated during

1 the preceding assessment year at a net capacity factor of more
2 than twenty percent, shall not receive the benefits of this
3 section ~~or of section 15.332~~.

4 Sec. 53. Section 432.12C, subsection 2, Code 2025, is
5 amended to read as follows:

6 2. The taxes imposed under this chapter shall be reduced by
7 investment tax credits authorized pursuant to ~~section 15.333A~~
8 ~~and section 15E.193B, subsection 6, Code 2014~~ sections 15.508
9 and 15.496.

10 Sec. 54. Section 455B.104, subsection 2, Code 2025, is
11 amended by striking the subsection.

12 Sec. 55. Section 533.329, subsection 2, paragraph c, Code
13 2025, is amended by striking the paragraph.

14 Sec. 56. Section 533.329, subsection 2, paragraph d, Code
15 2025, is amended to read as follows:

16 *d.* The moneys and credits tax imposed under this section
17 shall be reduced by an investment tax credit authorized
18 pursuant to ~~section 15.333~~ sections 15.508 and 15.496.

19 Sec. 57. REPEAL. Sections 15E.231, 15E.232, 15E.233,
20 266.19, 422.11U, and 432.12H, Code 2025, are repealed.

21 Sec. 58. PRESERVATION OF EXISTING RIGHTS. The sections of
22 this division of this Act amending sections 422.10, 422.11F,
23 422.11U, 422.33, 422.60, 432.12C, 432.12H, and 533.329 shall
24 not limit, modify, or otherwise adversely affect any amount of
25 tax incentive issued, awarded, or allowed before December 31,
26 2025, nor shall it limit, modify, or otherwise adversely affect
27 a taxpayer's right to claim or redeem a tax incentive issued,
28 awarded, or allowed before December 31, 2025, including but not
29 limited to any tax credit carryforward amount.

30 Sec. 59. EFFECTIVE DATE. This division of this Act takes
31 effect December 31, 2025.

32 DIVISION VI

33 SEED INVESTOR TAX CREDIT PROGRAM AND INNOVATION FUND INVESTMENT 34 TAX CREDITS

35 Sec. 60. NEW SECTION. **15E.25 Purpose.**

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1 The purpose of this subchapter is to stimulate job growth,
2 create wealth, and accelerate the creation of new ventures by
3 using investment tax credits to incentivize the transfer of
4 capital from investors to entrepreneurs, particularly during
5 early-stage growth.

6 Sec. 61. NEW SECTION. 15E.26 Definitions.

7 For purposes of this subchapter, unless the context
8 otherwise requires:

9 1. "*Affiliate*" means a spouse, child, or sibling of an
10 investor or a corporation, partnership, or trust in which an
11 investor has a controlling equity interest or in which an
12 investor exercises management control.

13 2. "*Authority*" means the economic development authority
14 created in section 15.105.

15 3. "*Entrepreneurial assistance program*" includes the
16 entrepreneur investment awards program administered under
17 section 15E.362, the receipt of services from a service
18 provider engaged pursuant to section 15.411, subsection 1, or
19 the program administered under section 15.411, subsection 2.

20 4. "*Investment*" means a minimum cash investment of ten
21 thousand dollars in a qualifying business.

22 5. "*Investor*" means a person making a cash investment in
23 a qualifying business. "*Investor*" does not include a person
24 that holds at least a seventy percent ownership interest as an
25 owner, member, or shareholder in a qualifying business.

26 6. "*Qualifying business*" means a business meeting the
27 criteria defined in section 15E.28.

28 7. "*Rural area*" means a city that has a population of
29 fifteen thousand or less based on the most recent decennial
30 census released by the United States census bureau.

31 8. "*Urban area*" means a city that has a population of
32 greater than fifteen thousand based on the most recent
33 decennial census released by the United States census bureau.

34 Sec. 62. NEW SECTION. 15E.27 Investment tax credits.

35 1. a. For tax years beginning on or after January 1, 2025,

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1 a tax credit shall be allowed against the taxes imposed in
2 chapter 422, subchapters II, III, and V, and in chapter 432,
3 and against the moneys and credits tax imposed in section
4 533.329, for a portion of a taxpayer's equity investment, as
5 provided in subsection 2, in a qualifying business.

6 *b.* An individual may claim a tax credit under this section
7 of a partnership, limited liability company, S corporation,
8 estate, or trust electing to have income taxed directly to
9 the individual. The amount claimed by the individual shall
10 be based upon the pro rata share of the individual's earnings
11 from the partnership, limited liability company, S corporation,
12 estate, or trust.

13 *c.* A tax credit shall be allowed only for an investment
14 made in the form of cash to purchase equity in a qualifying
15 business.

16 *d.* An affiliate of a qualifying business or an affiliate of
17 a qualifying business's principals shall not be eligible for a
18 tax credit under this section.

19 *e.* (1) For a tax credit claimed against the taxes imposed
20 on any of the following, any tax credit in excess of the tax
21 liability is refundable:

22 (a) A tax credit claimed against the taxes imposed in
23 chapter 422, subchapters II, III, and V.

24 (b) A tax credit claimed against the taxes imposed in
25 chapter 432.

26 (c) A tax credit claimed against the moneys and credits tax
27 imposed in section 533.329.

28 (2) A tax credit shall not be carried back to a tax year
29 prior to the tax year in which the taxpayer redeems the tax
30 credit.

31 *f.* In lieu of claiming a refund, a taxpayer may elect to
32 have the overpayment shown on the taxpayer's final, completed
33 return credited to the tax liability for the immediately
34 succeeding tax year.

35 2. *a.* The amount of the tax credit shall equal twenty

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1 percent of the taxpayer's equity investment if the qualifying
2 business is located in an urban area at the time of the
3 investment. The amount of the tax credit shall equal
4 thirty-five percent of the taxpayer's equity investment if the
5 qualifying business is located in a rural area at the time of
6 the investment.

7 **b.** (1) The maximum amount of a tax credit that may be
8 issued per fiscal year to a natural person and the person's
9 spouse or dependent shall not exceed one hundred thousand
10 dollars combined. For purposes of this subparagraph,
11 "*dependent*" has the same meaning as defined by the Internal
12 Revenue Code.

13 (2) The maximum amount of a tax credit that may be issued
14 per fiscal year to a corporation or other entity shall not
15 exceed one hundred thousand dollars.

16 (3) An application received by the authority that exceeds
17 the maximum amount of tax credits permitted by this paragraph
18 shall be denied, in whole or in part, regardless of whether the
19 investment would otherwise be eligible to qualify for a tax
20 credit.

21 (4) For purposes of this paragraph, a tax credit issued
22 to a partnership, limited liability company, S corporation,
23 estate, or trust electing to have income taxed directly to
24 the individual shall be deemed to be issued to the individual
25 owners based upon the pro rata share of the individual's
26 earnings from the entity.

27 **c.** The maximum amount of tax credits that may be issued
28 per fiscal year for equity investments in any one qualifying
29 business shall not exceed five hundred thousand dollars. An
30 application received by the authority that exceeds the maximum
31 amount of tax credits permitted by this paragraph shall
32 be denied, in whole or in part, regardless of whether the
33 investment would otherwise be eligible to qualify for a tax
34 credit.

35 3. An investment shall be deemed to have been made on the

1 same date as the date of acquisition of the equity interest as
2 determined by the Internal Revenue Code.

3 4. The authority shall not issue tax credits under this
4 section in excess of the amount approved by the authority for
5 any one fiscal year pursuant to section 15.119, subsection 2,
6 paragraph "a".

7 5. A tax credit shall not be transferred to any other
8 person.

9 6. The authority shall develop a system for registration and
10 issuance of tax credits authorized pursuant to this subchapter
11 and shall control distribution of all tax credit certificates
12 to investors pursuant to this subchapter. The authority
13 shall develop rules for the qualification and administration
14 of qualifying businesses. The department of revenue shall
15 adopt rules pursuant to chapter 17A as necessary for the
16 administration of this subchapter.

17 Sec. 63. NEW SECTION. 15E.28 **Qualifying businesses.**

18 1. To determine whether a business is a qualifying business,
19 a business shall submit an application to the authority that
20 is accompanied by a nonrefundable application fee. A business
21 must be certified by the authority as a qualifying business in
22 order for an investor's equity investment to qualify for a tax
23 credit.

24 2. In order to be a qualifying business, a business must
25 meet all of the following criteria:

26 a. The principal business operations, and a majority of
27 employees, of the business are located in this state.

28 b. The business has been in operation for five years or
29 less.

30 c. The business has at least one full-time equivalent
31 employee.

32 d. The business's primary operations are in advanced
33 manufacturing, bioscience, insurance and finance, and
34 technologies. The business shall not be primarily engaged in
35 retail sales, real estate, the provision of health care, or

1 the provision of services that require a professional license.
2 In determining whether a business is primarily engaged in
3 advanced manufacturing, biosciences, insurance and finance, or
4 technologies, the authority shall consider the business's North
5 American industry classification system code, the business's
6 main sources of revenue, and the business's customer base.

7 e. The business is an independent organization that is
8 not part of, or an affiliate of, a business that is not a
9 qualifying business.

10 f. The business shall establish that its owners, directors,
11 officers, and employees have an appropriate level of experience
12 consistent with the nature of the business. The authority may
13 consult with outside service providers to determine whether a
14 business meets the requirement of this paragraph. A business
15 that has participated in an entrepreneurial assistance program
16 shall be presumed to meet the requirement of this paragraph.

17 g. The business shall not have a net worth that exceeds ten
18 million dollars.

19 h. The business shall have secured all of the following at
20 the time of application for tax credits:

21 (1) At least two investors. For purposes of this
22 subparagraph, "investor" includes a person who executes a
23 binding investment commitment to a qualifying business, and
24 does not include an affiliate of a qualifying business or an
25 affiliate of a qualifying business's principals.

26 (2) Total equity financing, binding investment commitments,
27 or some combination thereof, equal to at least five hundred
28 thousand dollars, from investors.

29 3. A qualifying business shall have the burden of proof
30 to demonstrate to the authority its qualifications under this
31 section, and shall have the obligation to notify the authority
32 in a timely manner of any changes in the qualifications of
33 the business or in the eligibility of investors to redeem the
34 investment tax credits in any tax year. The authority may
35 revoke the certification of a qualifying business that no

1 longer meets the requirements of this section.

2 4. A business that has been certified by the authority as a
3 qualifying business shall annually submit an application to the
4 authority that documents continued eligibility as a qualifying
5 business and any investments that may qualify for a tax credit.
6 The business shall submit the application to the authority
7 during an annual application period designated by the authority
8 by rule.

9 5. Based on the applications submitted by qualifying
10 businesses pursuant to subsection 4, the authority shall make
11 an initial allocation of tax credits in the order in which
12 the applications are received until the maximum amount of tax
13 credits determined by the board pursuant to section 15.119,
14 subsection 2, is reached. Equity investors that are eligible
15 for a tax credit based on such initial allocation shall submit
16 any additional information requested by the authority necessary
17 to verify the eligibility of the investor and to issue a tax
18 credit certificate. An equity investor that does not submit
19 the required information may be denied a tax credit. If any
20 equity investor included in the initial allocation is denied
21 a tax credit, the authority may allocate such tax credits
22 to equity investors that were not included in the initial
23 allocation.

24 6. Upon receipt of all required information from a
25 qualifying business and an equity investor, the director of
26 the authority may approve issuance of a tax credit certificate
27 to be included with the equity investor's tax return. The tax
28 credit certificate shall contain the taxpayer's name, address,
29 tax identification number, the amount of tax credit, the name
30 of the qualifying business, and any other information required
31 by the department of revenue. The tax credit certificate,
32 unless rescinded by the authority, shall be accepted by the
33 department of revenue as payment for taxes imposed pursuant
34 to chapter 422, subchapters II, III, and V, and in chapter
35 432, and for the moneys and credits tax imposed in section

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1 533.329, subject to any conditions or restrictions placed by
2 the authority upon the face of the tax credit certificate and
3 subject to the limitations of section 15E.27.

4 Sec. 64. NEW SECTION. 15E.29 Confidentiality — reports.

5 1. Except as provided in subsection 2, all information or
6 records in the possession of the authority with respect to this
7 subchapter shall be presumed by the authority to be a trade
8 secret protected under chapter 550 or common law, and shall be
9 kept confidential by the authority unless otherwise ordered by
10 a court.

11 2. All of the following shall be considered public
12 information under chapter 22:

13 a. The identity of a qualifying business.

14 b. The identity of an investor and the qualifying business
15 in which the investor made an equity investment.

16 c. The number of tax credit certificates issued by the
17 authority.

18 d. The total dollar amount of tax credits issued by the
19 authority.

20 3. The authority shall include as part of the annual
21 report under section 15.107B a listing of eligible qualifying
22 businesses, the number of tax credit certificates, and the
23 amount of tax credits issued by the authority in each fiscal
24 year.

25 Sec. 65. Section 15E.52, subsection 5, paragraph a, Code
26 2025, is amended to read as follows:

27 a. To receive a tax credit, a taxpayer must submit an
28 application to the board. The board shall issue certificates
29 under [this section](#) on a first-come, first-served basis, which
30 certificates may be redeemed for tax credits. The board shall
31 issue such certificates so that not more than the amount
32 allocated for such tax credits under section 15.119, subsection
33 2, paragraph "a", may be claimed. The board shall not issue a
34 certificate before September 1, 2014.

35 Sec. 66. Section 15E.52, subsection 7, paragraph g, Code

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1 2025, is amended to read as follows:

2 *g.* The fund proposes to obtain at least ~~fifteen~~ three
3 million dollars in binding investment commitments and to invest
4 a minimum of ~~fifteen~~ three million dollars in companies that
5 have a principal place of business in the state.

6 Sec. 67. CODE EDITOR DIRECTIVE. The Code editor is directed
7 to do the following:

8 1. Entitle chapter 15E, subchapter IV, "Seed Investor Tax
9 Credit" and include sections 15E.25 through 15E.29.

10 2. Correct internal references in the Code and in enacted
11 legislation as necessary due to the enactment of this division
12 of this Act.

13 DIVISION VII

14 ELIMINATION OF INVESTMENTS IN QUALIFYING BUSINESSES TAX CREDIT
15 PROGRAM

16 Sec. 68. REPEAL. Sections 15E.41, 15E.42, 15E.43, 15E.44,
17 and 15E.46, Code 2025, are repealed.

18 Sec. 69. TRANSITION PROVISIONS. A tax credit issued by the
19 economic development authority to a taxpayer before June 30,
20 2026, for an investment in a qualifying business pursuant to
21 chapter 15E, subchapter V, Code 2025, shall remain valid per
22 the terms under which the tax credit was issued by the economic
23 development authority, and the provisions of chapter 15E,
24 subchapter V, Code 2025.

25 DIVISION VIII

26 INVESTMENTS IN QUALIFYING BUSINESS TAX CREDIT PROGRAM —
27 CONFORMING CHANGES

28 Sec. 70. Section 2.48, subsection 3, paragraph d,
29 subparagraph (1), Code 2025, is amended by striking the
30 subparagraph.

31 Sec. 71. Section 15E.52, subsection 4, Code 2025, is amended
32 to read as follows:

33 4. A taxpayer shall not claim a tax credit under this
34 section if the taxpayer is a venture capital investment fund
35 allocation manager for the Iowa fund of funds created in

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1 section 15E.65 or an investor that receives a tax credit for
2 the same investment in a qualifying business as described in
3 ~~section 15E.44 or in a community-based seed capital fund as~~
4 ~~described in section 15E.45, Code 2015 15E.28.~~

5 Sec. 72. Section 422.11F, subsection 1, Code 2025, is
6 amended to read as follows:

7 1. The taxes imposed under this subchapter, less the credits
8 allowed under section 422.12, shall be reduced by an investment
9 tax credit authorized pursuant to section ~~15E.43~~ 15E.27 for an
10 investment in a qualifying business.

11 Sec. 73. Section 422.33, subsection 12, paragraph a, Code
12 2025, is amended to read as follows:

13 a. The taxes imposed under this subchapter shall be reduced
14 by an investment tax credit authorized pursuant to section
15 ~~15E.43~~ 15E.27 for an investment in a qualifying business.

16 Sec. 74. Section 422.60, subsection 5, paragraph a, Code
17 2025, is amended to read as follows:

18 a. The taxes imposed under this subchapter shall be reduced
19 by an investment tax credit authorized pursuant to section
20 ~~15E.43~~ 15E.27 for an investment in a qualifying business.

21 Sec. 75. Section 432.12C, subsection 1, Code 2025, is
22 amended to read as follows:

23 1. The tax imposed under this chapter shall be reduced by
24 an investment tax credit authorized pursuant to section ~~15E.43~~
25 15E.27 for an investment in a qualifying business.

26 Sec. 76. Section 533.329, subsection 2, paragraph e, Code
27 2025, is amended to read as follows:

28 e. The moneys and credits tax imposed under this section
29 shall be reduced by an investment tax credit authorized
30 pursuant to section ~~15E.43~~ 15E.27.

31 Sec. 77. PRESERVATION OF EXISTING RIGHTS. The sections of
32 this division of this Act amending sections 422.11F, 422.33,
33 422.60, 432.12C, and 533.329 shall not limit, modify, or
34 otherwise adversely affect any amount of investment tax credit
35 under section 15E.43, Code 2025, that was issued, awarded,

1 or allowed before July 1, 2026, and shall not limit, modify,
2 or otherwise adversely affect a taxpayer's right to claim or
3 redeem an investment tax credit under section 15E.43, Code
4 2025, that was issued, awarded, or allowed before July 1,
5 2026, including but not limited to any tax credit carryforward
6 amount.

7 DIVISION IX

8 IOWA FILM PRODUCTION INCENTIVE PROGRAM AND FUND

9 Sec. 78. NEW SECTION. 15.517 Iowa film production incentive
10 program.

11 1. As used in this section:

12 a. "*Fund*" means the Iowa film production incentive fund.

13 b. "*Program*" means the Iowa film production incentive
14 program.

15 c. "*Qualified expenditure*" means an allowed expense, as
16 determined by the authority by rule, that is incurred by a
17 qualified production facility on or after July 1, 2025, but
18 before July 1, 2027, for producing a qualified production.

19 d. "*Qualified production*" means a feature film, television
20 series, documentary, or unscripted series that is rated G, PG,
21 PG-13, or R by the classification and ratings administration of
22 the motion picture association of America or the TV parental
23 guidelines monitoring board.

24 e. "*Qualified production facility*" or "*facility*" means any
25 of the following:

26 (1) A dedicated studio located in this state at which
27 qualified productions can be produced.

28 (2) A studio located in this state at which all
29 preproduction and film production take place for a qualified
30 production filmed on location in this state.

31 (3) A company that has, in the three consecutive years
32 immediately preceding an application for a rebate, had the
33 company's principal place of business in this state and
34 produced a qualified production.

35 2. a. The authority shall establish and administer an Iowa

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1 film production incentive program for the purpose of providing
2 rebates to qualified production facilities for qualified
3 expenditures.

4 **b.** The authority shall establish eligibility criteria for
5 the program by rule.

6 (1) The eligibility criteria for qualified production
7 facilities must require that a facility have an agreement
8 between the authority and the facility that the phrase "filmed
9 in Iowa" appears noticeably in the credits of the qualified
10 production.

11 (2) The eligibility criteria for a qualified production
12 must include:

13 (a) A total production budget of at least one million
14 dollars, including at least five hundred thousand dollars in
15 qualified expenditures, and evidence that the total production
16 budget is fully funded.

17 (b) Availability to the public for viewing at a venue where
18 admission is charged, or availability for purchase, for rental,
19 or through a streaming service that requires a subscription.

20 (3) The eligibility criteria for qualified expenditures
21 must include the following:

22 (a) The requirements for substantiation of expenses
23 and submission of expenses for industry standard activities
24 including expenses for cast members, equipment, studio
25 production facilities, hospitality services, certified public
26 accountant services, per diem payments, payments to businesses
27 located in this state, accommodations, and any other expenses
28 allowed by the authority. Qualified expenditures shall not
29 include expenses for entertainment, studio executive airfare,
30 royalties, and publicity for the qualified production.

31 (b) Documentation that all qualified expenses were incurred
32 following approval of the application for rebate by the
33 authority.

34 3. An application for a rebate under the program shall
35 be submitted by a qualified production facility to the

1 authority for approval in the form and manner prescribed by the
2 authority. In determining whether to approve a rebate, the
3 factors the authority may consider include but are not limited
4 to all of the following:

5 *a.* The extent to which the applicant will participate
6 in training, education, and recruitment programs that are
7 organized in cooperation with interested Iowa colleges and
8 universities, and that are designed to promote and encourage
9 the training and hiring of Iowa residents.

10 *b.* Whether the rebate will incentivize a qualified
11 production facility to choose an Iowa location for its
12 qualified production rather than an out-of-state location.

13 *c.* The likelihood that approval of the rebate will result in
14 an overall long-term positive impact to the state.

15 4. *a.* If a qualified production facility's application
16 is approved by the authority, the maximum rebate paid to the
17 facility under the program shall equal thirty percent of the
18 facility's documented qualified expenditures excluding any
19 sales, use, and hotel and motel taxes paid.

20 *b.* Prior to disbursement of the rebate, a qualified
21 production facility shall submit all of the following to the
22 authority at the expense of the facility:

23 (1) An examination of the qualified expenditures completed
24 by a certified public accountant, as defined in section
25 542.3, in accordance with the currently effective statements
26 on standards for attestation engagements established by the
27 American institute of certified public accountants.

28 (2) A statement of the final amount of qualified
29 expenditures.

30 (3) Any other information the authority deems necessary to
31 ensure compliance with this section.

32 5. *a.* An Iowa film production incentive fund is created
33 in the state treasury under the control of the authority. The
34 fund shall consist of moneys appropriated to the authority and
35 any other moneys available to, obtained by, or accepted by the

1 attributable to expenditures made in this state.

2 Sec. 81. Section 237A.31, Code 2025, is amended by adding
3 the following new subsection:

4 NEW SUBSECTION. 5. This section is repealed January 1,
5 2031.

6 Sec. 82. Section 422.120, Code 2025, is amended by adding
7 the following new subsection:

8 NEW SUBSECTION. 3. This section is repealed January 1,
9 2031.

10 Sec. 83. Section 422.33, subsection 32, Code 2025, is
11 amended to read as follows:

12 32. a. The taxes imposed under [this subchapter](#) shall be
13 reduced by an employer child care tax credit allowed pursuant
14 to [section 237A.31](#).

15 b. This subsection is repealed January 1, 2031.

16 Sec. 84. Section 422.60, subsection 15, Code 2025, is
17 amended to read as follows:

18 15. a. The taxes imposed under [this subchapter](#) shall be
19 reduced by an employer child care tax credit allowed pursuant
20 to [section 237A.31](#).

21 b. This subsection is repealed January 1, 2031.

22 Sec. 85. Section 432.120, Code 2025, is amended to read as
23 follows:

24 **432.120 Employer child care tax credit.**

25 1. The taxes imposed under [this chapter](#) shall be reduced by
26 an employer child care tax credit allowed pursuant to section
27 237A.31.

28 2. This section is repealed January 1, 2031.

29 Sec. 86. Section 533.329, subsection 2, paragraph m, Code
30 2025, is amended to read as follows:

31 m. (1) The moneys and credits tax imposed under this
32 section shall be reduced by an employer child care tax credit
33 allowed pursuant to [section 237A.31](#).

34 (2) This paragraph is repealed January 1, 2031.

35

DIVISION XI

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1 ASSISTIVE DEVICE TAX CREDIT REPEAL

2 Sec. 87. Section 2.48, subsection 3, paragraph e,
3 subparagraph (5), Code 2025, is amended to read as follows:

4 (5) (a) The assistive device corporate tax credit under
5 section 422.33.

6 (b) This subparagraph is repealed January 1, 2031.

7 Sec. 88. Section 422.33, subsection 9, paragraph a,
8 subparagraph (1), Code 2025, is amended to read as follows:

9 (1) The taxes imposed under this subchapter shall be
10 reduced by an assistive device tax credit through the tax year
11 beginning on or after January 1, 2024, but before January 1,
12 2025. A small business purchasing, renting, or modifying
13 an assistive device or making workplace modifications for
14 an individual with a disability who is employed or will
15 be employed by the small business is eligible, subject to
16 availability of credits, to receive this assistive device
17 tax credit which is equal to fifty percent of the first five
18 thousand dollars paid during the tax year for the purchase,
19 rental, or modification of the assistive device or for making
20 the workplace modifications. The following percentage of any
21 credit in excess of the tax liability shall be refunded with
22 interest in accordance with section 421.60, subsection 2,
23 paragraph "e", as follows:

24 (a) For the tax year beginning on or after January 1, 2023,
25 but before January 1, 2024, ninety-five percent.

26 (b) For the tax year beginning on or after January 1, 2024,
27 but before January 1, 2025, ninety percent.

28 ~~(c) For the tax year beginning on or after January 1, 2025,~~
29 ~~but before January 1, 2026, eighty-five percent.~~

30 ~~(d) For the tax year beginning on or after January 1, 2026,~~
31 ~~but before January 1, 2027, eighty percent.~~

32 ~~(e) For tax years beginning on or after January 1, 2027,~~
33 ~~seventy-five percent.~~

34 Sec. 89. Section 422.33, subsection 9, Code 2025, is amended
35 by adding the following new paragraph:

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1 NEW PARAGRAPH. *d.* This subsection is repealed January 1,
2 2031.

3 Sec. 90. RETROACTIVE APPLICABILITY. This division of this
4 Act applies retroactively to January 1, 2025, for tax years
5 beginning on or after that date.

6 DIVISION XII

7 ENDOW IOWA TAX CREDIT

8 Sec. 91. Section 15E.303, subsections 1, 2, and 6, Code
9 2025, are amended by striking the subsections.

10 Sec. 92. Section 15E.305, subsection 2, unnumbered
11 paragraph 1, Code 2025, is amended to read as follows:

12 The aggregate amount of tax credits authorized pursuant to
13 this section shall not exceed a total of ~~six~~ three million five
14 hundred thousand dollars annually.

15 Sec. 93. Section 15E.305, subsection 2, paragraph a, Code
16 2025, is amended to read as follows:

17 *a.* The maximum amount of tax credits granted to a taxpayer
18 shall not exceed ~~one hundred~~ fifty thousand dollars.

19 Sec. 94. Section 15E.305, Code 2025, is amended by adding
20 the following new subsection:

21 NEW SUBSECTION. 3A. In addition to the other eligibility
22 requirements for receiving a tax credit under this section, to
23 be eligible to receive a tax credit pursuant to this section
24 all of the following must apply:

25 *a.* The endow Iowa qualified community foundation and
26 permanent endowment fund do not contain the name of a
27 corporation or other business entity.

28 *b.* The endow Iowa qualified community foundation submitted
29 a report to the general assembly by January 31 detailing the
30 specific grants provided during the calendar year preceding the
31 applicable tax year.

32 *c.* The community foundation that administers a permanent
33 endowment fund for which a taxpayer requests a tax credit has
34 provided any information requested by the authority to verify
35 whether a contribution to the permanent endowment fund is

1 eligible for the tax credit.

2 Sec. 95. Section 15E.311, subsection 4, paragraph c, Code
3 2025, is amended to read as follows:

4 c. "*Eligible county recipient*" means an endow Iowa qualified
5 community foundation or community affiliate organization, as
6 defined in [section 15E.303](#), that is selected, ~~in accordance~~
7 ~~with the procedures described in [section 15E.304](#)~~, to receive
8 moneys from an account created in [this section](#) for a particular
9 county. To be selected as an eligible county recipient, a
10 community affiliate organization shall establish a county
11 affiliate fund to receive moneys as provided by [this section](#).

12 Sec. 96. Section 15E.311, subsection 6, Code 2025, is
13 amended by striking the subsection.

14 Sec. 97. REPEAL. Sections 15E.301, 15E.302, and 15E.304,
15 Code 2025, are repealed.

16 Sec. 98. EFFECTIVE DATE. This division of this Act takes
17 effect January 1, 2026.

18 Sec. 99. APPLICABILITY. This division of this Act applies
19 to tax years beginning on or after January 1, 2026.

20 DIVISION XIII

21 RESEARCH ACTIVITIES TAX CREDIT REPEAL

22 Sec. 100. Section 422.10, subsection 1, unnumbered
23 paragraph 1, Code 2025, is amended to read as follows:

24 The taxes imposed under [this subchapter](#) shall be reduced by
25 a state tax credit for increasing research activities in this
26 state through the tax year beginning on or after January 1,
27 2025, but before January 1, 2026.

28 Sec. 101. Section 422.10, subsection 1, paragraph b,
29 subparagraph (3), subparagraph division (d), subparagraph
30 subdivision (iv), Code 2025, is amended by striking the
31 subparagraph subdivision.

32 Sec. 102. Section 422.10, subsection 1, paragraph b,
33 subparagraph (3), subparagraph division (e), Code 2025, is
34 amended to read as follows:

35 (e) For tax years beginning on or after January 1,

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1 ~~2027~~ 2026, amounts paid for supplies as defined in section
2 41(b)(2)(C) of the Internal Revenue Code shall not be qualified
3 research expenses in this state.

4 Sec. 103. Section 422.10, Code 2025, is amended by adding
5 the following new subsection:

6 NEW SUBSECTION. 7. This section is repealed January 1,
7 2027.

8 Sec. 104. Section 422.33, subsection 5, paragraph a,
9 unnumbered paragraph 1, Code 2025, is amended to read as
10 follows:

11 The taxes imposed under this subchapter shall be reduced by
12 a state tax credit through the tax year beginning on or after
13 January 1, 2025, but before January 1, 2026, for increasing
14 research activities in this state equal to the sum of the
15 following:

16 Sec. 105. Section 422.33, subsection 5, paragraph b,
17 subparagraph (2), subparagraph division (d), subparagraph
18 subdivision (iv), Code 2025, is amended by striking the
19 subparagraph subdivision.

20 Sec. 106. Section 422.33, subsection 5, paragraph b,
21 subparagraph (2), subparagraph division (e), Code 2025, is
22 amended to read as follows:

23 (e) For tax years beginning on or after January 1,
24 ~~2027~~ 2026, amounts paid for supplies as defined in section
25 41(b)(2)(C) of the Internal Revenue Code shall not be qualified
26 research expenses in this state.

27 Sec. 107. Section 422.33, subsection 5, Code 2025, is
28 amended by adding the following new paragraph:

29 NEW PARAGRAPH. j. This subsection is repealed January 1,
30 2027.

31 DIVISION XIV

32 RESEARCH AND DEVELOPMENT TAX CREDIT PROGRAM

33 Sec. 108. NEW SECTION. 15.520 **Short title.**

34 This part shall be known and may be cited as the "*Research*
35 *and Development Tax Credit Program*".

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1 Sec. 109. NEW SECTION. **15.521 Definitions.**

2 As used in this part, unless the context otherwise requires:

3 1. "*Eligible expenditures*" means qualified research expenses
4 under section 41 of the Internal Revenue Code, to the extent
5 the expenditures occurred in this state.

6 2. "*Qualified business*" means a business certified by the
7 authority as eligible to claim the research and development tax
8 credit.

9 3. "*Qualified research and development*" means a systematic
10 activity that combines basic and applied research in an attempt
11 to discover solutions to new or existing problems, or to
12 create or update goods and services. "*Qualified research and*
13 *development*" includes a set of innovative activities undertaken
14 by an eligible business in developing new services or products,
15 and in improving existing ones.

16 Sec. 110. NEW SECTION. **15.522 Eligible businesses and**
17 **sectors.**

18 1. The tax credit available pursuant to this part shall be
19 available only to a business primarily engaged in any of the
20 following:

- 21 a. Advanced manufacturing.
- 22 b. Bioscience.
- 23 c. Insurance and finance.
- 24 d. Technology and innovation.

25 2. For a business described in subsection 1, the sectors
26 available for the credit may include the following:

- 27 a. Second-generation food innovation.
- 28 b. Food ingredients and supplements.
- 29 c. Crop protection.
- 30 d. Hybrid seed technologies.
- 31 e. Diagnostic analytics and immunotherapies.
- 32 f. Chip technologies and microelectronics.
- 33 g. Medical equipment and supplies.
- 34 h. Software and technology.
- 35 i. Aerospace.

- 1 *j.* Pharmaceuticals.
- 2 *k.* Consumer products.
- 3 *l.* Any additional sectors included by the authority by rule.
- 4 3. A business that shall not be considered to be engaged in
- 5 advanced manufacturing, bioscience, insurance and finance, or
- 6 technology and innovation under subsection 1, and thus is not
- 7 eligible for the credit, includes but is not limited to all of
- 8 the following:
- 9 *a.* A business engaged in agriculture production as defined
- 10 in section 423.1.
- 11 *b.* A business that is a contractor, subcontractor, builder,
- 12 or a contractor-retailer that engages in commercial and
- 13 residential repair and installation, including but not limited
- 14 to heating or cooling installation and repair, plumbing and
- 15 pipe fitting, security system installation, and electrical
- 16 installation and repair. For purposes of this paragraph,
- 17 "*contractor-retailer*" means a business that makes frequent
- 18 retail sales to the public or to other contractors and that
- 19 also engages in the performance of construction contracts.
- 20 *c.* A finance or investment company.
- 21 *d.* A retailer.
- 22 *e.* A wholesaler.
- 23 *f.* A transportation company.
- 24 *g.* An ethanol biorefinery.
- 25 *h.* An agricultural cooperative association as defined in
- 26 section 502.102.
- 27 *i.* A real estate company.
- 28 *j.* A collection agency.
- 29 *k.* An accountant.
- 30 *l.* An architect.
- 31 *m.* A publisher.

32 Sec. 111. NEW SECTION. 15.523 Application, certification,

33 and agreement.

- 34 1. A business shall submit a preapplication to the authority
- 35 to determine whether the business is primarily engaged

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1 in an eligible sector identified in section 15.522 and is
2 actively engaged in qualified research and development. The
3 determination made by the authority shall be based on factors
4 including but not limited to the North American industry
5 classification code and sources of revenue. The authority may
6 request any additional documentation or conduct site visits
7 to verify the requirements of the program are met upon the
8 submission of the preapplication.

9 2. The authority must certify a business as a qualified
10 business for the business to claim a research and development
11 tax credit. A qualified business that continues to meet the
12 requirements of the program and the agreement entered pursuant
13 to subsection 3 may remain certified for up to five years. A
14 business may reapply for certification in additional five-year
15 increments. A business that does not demonstrate an increase
16 in eligible expenditures may be denied recertification by
17 the authority. A business that is denied certification or
18 recertification may reapply. The authority may specify the
19 length of time after the denial when the business is eligible
20 to reapply.

21 3. An eligible business must enter into an agreement with
22 the authority for successful completion of all requirements of
23 the program.

24 4. Each year after certification as a qualified business,
25 the qualified business shall submit an application to the
26 authority for a tax credit based on the amount of eligible
27 expenditures that were included in Section F of Internal
28 Revenue Form 6765 that was submitted with the qualified
29 business's most recently filed and accepted federal tax return.
30 The application shall include a verification of eligible
31 expenditures by procedures prescribed by the authority by rule.
32 The qualified business shall engage an independent certified
33 public accountant authorized to practice in this state to
34 conduct the verification. A qualified business shall submit
35 the application to the authority by January 31 following the

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1 most recently filed and accepted federal tax return for a tax
2 year in which the business is determined to be a qualified
3 business.

4 5. Each fiscal year, the authority will approve tax credit
5 awards by apportioning the amount of tax credits available
6 pursuant to section 15.119 on a pro rata basis, based on
7 the total amount of eligible expenditures incurred by all
8 qualified businesses that are awarded a tax credit. Up to
9 five percent of the amount of tax credits available pursuant
10 to section 15.119 may be awarded as additional tax credits to
11 qualified businesses that demonstrate an increase in eligible
12 expenditures.

13 6. If the qualified business fails to comply with any
14 requirements of the program or the agreement entered pursuant
15 to subsection 3 as determined by the authority, the qualified
16 business may have its certification as a qualified business
17 revoked or be required to repay any tax credit the authority
18 issued to the qualified business. After a final determination,
19 the authority will notify the department of revenue of any
20 required repayment of a tax credit. Such repayment shall be
21 considered a tax payment due and payable to the department of
22 revenue by any taxpayer that claimed the tax incentive, and the
23 failure to make the repayment may be treated by the department
24 of revenue in the same manner as a failure to pay the tax shown
25 due, or required to be shown due, with the filing of a return or
26 deposit form.

27 7. A qualified business that claims a research activities
28 credit pursuant to section 422.10 or 422.33, Code 2025,
29 shall not claim a research and development tax credit awarded
30 pursuant to this part on the same tax return.

31 Sec. 112. NEW SECTION. **15.524 Research and development tax**
32 **credit.**

33 1. For tax years beginning on or after January 1, 2026, a
34 research and development tax credit is available to a qualified
35 business that is approved for the tax credit by the authority.

1 2. Upon submission of the documentation required pursuant
2 to section 15.523, subsection 4, and verification of eligible
3 expenditures by the authority, the authority may issue a tax
4 credit certificate to a qualified business indicating the
5 amount available to be claimed. The authority may approve a
6 tax credit in an amount up to three and one-half percent of
7 the amount of the qualified business's eligible expenditures.
8 The tax credit shall be claimed in the tax year immediately
9 following the tax year during which the eligible expenditures
10 were incurred.

11 3. To claim a tax credit under this section, a taxpayer
12 shall include one or more tax credit certificates with the
13 taxpayer's tax return. The tax credit certificate must contain
14 the taxpayer's name, address, tax identification number, the
15 amount of the credit, the name of the qualified business, and
16 any other information required by the department of revenue.
17 The tax credit certificate, unless rescinded by the authority,
18 shall be accepted by the department of revenue as payment for
19 taxes imposed pursuant to chapter 422, subchapters II and
20 III, subject to any conditions or restrictions placed by the
21 authority upon the face of the tax credit certificate and
22 subject to the limitations of the program.

23 4. Any tax credit in excess of the business's tax liability
24 is refundable. In lieu of claiming a refund, the taxpayer
25 may elect to have the overpayment shown on the taxpayer's
26 final, completed return credited to the tax liability for the
27 following tax year.

28 5. Tax credit certificates issued pursuant to this section
29 are not transferable.

30 6. If the business is a partnership, S corporation, limited
31 liability company, estate, or trust electing to have the income
32 taxed directly to the individual, an individual may claim the
33 tax credit allowed. The amount claimed by the individual shall
34 be based upon the pro rata share of the individual's earnings
35 of the partnership, S corporation, limited liability company,

1 or estate or trust.

2 7. The maximum amount of tax credits the authority may issue
3 under this section each fiscal year shall not exceed the amount
4 specified in section 15.119.

5 8. A qualified business that was approved to receive a
6 research activities credit pursuant to section 15.335, Code
7 2025, prior to January 1, 2026, shall not claim such tax credit
8 and a research and development tax credit pursuant to this part
9 on the same tax return.

10 Sec. 113. NEW SECTION. **15.525 Reporting requirements.**

11 1. A qualified business shall report annually to the
12 authority all of the following:

13 a. The total amount of investment made in research and
14 development.

15 b. The qualified location in this state where the research
16 and development occurred.

17 c. The number of jobs created, wages paid, and employee
18 residence locations.

19 2. The authority shall include as part of the annual report
20 under section 15.107B an annual report of the activities
21 conducted pursuant to this part.

22 3. The authority shall report all information in an
23 aggregate form to prevent, as much as possible, information
24 being attributable to any particular qualified business.

25 Sec. 114. NEW SECTION. **15.526 Confidentiality.**

26 1. Except as provided in subsection 2, all information or
27 records in the possession of the authority with respect to this
28 part shall be presumed by the authority to be a trade secret
29 protected under chapter 550 or common law, and shall be kept
30 confidential by the authority unless otherwise ordered by the
31 court.

32 2. The identity of a tax credit recipient and the amount
33 of the tax credit shall be considered public information under
34 chapter 22.

35 Sec. 115. NEW SECTION. **422.12Q Research and development**

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1 tax credit.

2 The taxes imposed under this subchapter, less the credits
3 allowed under section 422.12, shall be reduced by a research
4 and development tax credit allowed pursuant to section 15.524.

5 Sec. 116. Section 422.33, Code 2025, is amended by adding
6 the following new subsection:

7 NEW SUBSECTION. 17. The taxes imposed under this subchapter
8 shall be reduced by the research and development tax credit
9 allowed pursuant to section 15.524.

10 Sec. 117. CODE EDITOR DIRECTIVE. The Code editor shall
11 designate sections 15.520 through 15.526, as enacted in this
12 division of this Act, as part 35 of subchapter II.

13 Sec. 118. EFFECTIVE DATE. This division of this Act, being
14 deemed of immediate importance, takes effect upon enactment.

15 DIVISION XV

16 SUSTAINABLE AVIATION FUEL PRODUCTION TAX CREDIT

17 Sec. 119. NEW SECTION. 15.530 Short title.

18 This part shall be known and may be cited as the "*Sustainable*
19 *Aviation Fuel Production Tax Credit Program*".

20 Sec. 120. NEW SECTION. 15.531 Definitions.

21 As used in this part, unless the context otherwise requires:

22 1. "*Aviation gasoline*" means the same as defined in section
23 452A.2.

24 2. "*Eligible taxpayer*" means a business engaged in
25 manufacturing sustainable aviation fuel from feedstock.

26 3. "*Feedstock*" means any organic matter processed or refined
27 in the state suitable for sustainable aviation fuel production
28 without further enhancement. "*Feedstock*" includes ethanol, corn
29 oil, soybean oil, animal fats, used cooking oil, and algae.

30 4. "*Jet fuel*" means blends of hydrocarbons derived from
31 crude petroleum, natural gasoline, and synthetic hydrocarbons,
32 intended for use in aviation turbine engines, and that meet
33 the specifications in ASTM (American society for testing and
34 materials) specification D1655-12.

35 5. "*Sustainable aviation fuel*" means the portion of a liquid

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1 fuel meeting the requirements of ASTM D7566 or the Fischer
2 Tropsch provisions of ASTM D1655, Annex A1, derived from
3 feedstock not including palm fatty acid distillates and that
4 achieves at least a fifty percent life cycle greenhouse gas
5 emissions reduction as determined by any of the following:
6 *a.* The fuel production pathway achieves at least a fifty
7 percent life cycle greenhouse gas emission reduction in
8 comparison with petroleum-based aviation gasoline, aviation
9 turbine fuel, and jet fuel utilizing the most recent version
10 of the GREET (Argonne national laboratory's greenhouse gases,
11 regulated emissions, and energy use in technologies) model that
12 accounts for reduced emissions throughout the fuel production
13 process.
14 *b.* The fuel production pathway achieves at least a fifty
15 percent reduction in comparison with petroleum-based aviation
16 gasoline, aviation turbine fuel, and jet fuel utilizing the
17 most recent version of the default life cycle emission value or
18 actual core life cycle emissions value under the most recent
19 carbon offsetting and reduction scheme for international
20 aviation methodology for sustainable aviation fuels adopted by
21 the international civil aviation organization.

22 Sec. 121. NEW SECTION. 15.532 Eligible business application
23 and agreement.

24 1. *a.* An eligible business that produces a sustainable
25 aviation fuel in this state from feedstock during a calendar
26 year may apply to the authority for the sustainable aviation
27 fuel tax credit provided in section 15.533.

28 *b.* The application must be made to the authority in the
29 manner prescribed by the authority.

30 *c.* The application must be made during the calendar year
31 following the calendar year in which the sustainable aviation
32 fuel is produced.

33 *d.* The authority may accept applications on a continuous
34 basis or may establish, by rule, an annual application
35 deadline.

1 *e.* The application must include all of the following
2 information:
3 (1) The amount of sustainable aviation fuel produced in
4 the state from feedstock by the eligible business during the
5 calendar year, measured in gallons.
6 (2) The types and sources of feedstock used to produce
7 sustainable aviation fuel, documented in sufficient detail to
8 allow the authority to verify that such feedstock was processed
9 or refined in the state.
10 (3) Any other information reasonably required by the
11 authority in order to establish and verify eligibility under
12 the program.
13 *f.* The authority shall review and score all complete
14 applications submitted by eligible businesses on a competitive
15 basis pursuant to rules adopted by the authority.
16 2. *a.* Before being issued a tax credit under section
17 15.533, an eligible business must enter into an agreement with
18 the authority for the successful completion of all requirements
19 of the program. As part of the agreement, the eligible
20 business shall agree to collect and provide any information
21 reasonably required by the authority in order to allow the
22 board to fulfill its reporting obligation under section 15.534.
23 *b.* An eligible business shall fulfill all the requirements
24 of the program and the agreement before the authority issues
25 the business a tax credit certificate or enters into a
26 subsequent agreement with the business under this section. The
27 authority may decline to enter into a subsequent agreement with
28 the business under this section if a prior agreement is not
29 successfully fulfilled.
30 *c.* Upon establishing that all requirements of the program
31 and the agreement have been fulfilled, the authority shall
32 issue a tax credit certificate to the eligible business stating
33 the amount of sustainable fuel tax credit the eligible business
34 may claim.
35 3. The failure by an eligible business in fulfilling any

1 requirement of the program or any of the terms and obligations
2 of an agreement entered into pursuant to this section may
3 result in the reduction, termination, or rescission of the
4 tax credits under section 15.533 and may subject the eligible
5 business to the repayment or recapture of tax credits claimed.
6 After a final determination, the authority will notify the
7 department of revenue of any required repayment of a tax
8 credit. Such repayment shall be considered a tax payment due
9 and payable to the department of revenue by any taxpayer that
10 claimed the tax credit, and the failure to make the repayment
11 may be treated by the department of revenue in the same manner
12 as a failure to pay the tax shown due, or required to be shown
13 due, with the filing of a return or deposit form.

14 4. a. Except as provided in paragraph "b", any information
15 or record in the possession of the authority with respect to
16 the program shall be presumed by the authority to be a trade
17 secret protected under chapter 550 or common law and shall be
18 kept confidential by the authority unless otherwise ordered by
19 a court.

20 b. The identity of a tax credit recipient and the amount
21 of the tax credit shall be considered public information under
22 chapter 22.

23 Sec. 122. NEW SECTION. 15.533 Sustainable aviation fuel
24 tax credit.

25 1. An eligible business that has entered into an agreement
26 pursuant to section 15.532 may claim a tax credit in an amount
27 equal to the product of twenty-five cents multiplied by the
28 number of gallons of sustainable aviation fuel produced in
29 this state from feedstock. The sustainable aviation fuel tax
30 credit shall not be available for any sustainable aviation
31 fuel produced before the 2026 calendar year or after the 2035
32 calendar year.

33 2. The tax credit shall be allowed against taxes imposed
34 under chapter 422, subchapter II or III.

35 3. The tax credit shall be claimed for the tax year during

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1 which the eligible business was issued the tax credit.

2 4. An individual may claim a tax credit under this section
3 of a partnership, limited liability company, S corporation,
4 cooperative organized under chapter 501 and filing as a
5 partnership for federal tax purposes, estate, or trust electing
6 to have income taxed directly to the individual. The amount
7 claimed by the individual shall be based upon the pro rata
8 share of the individual's earnings from the partnership,
9 limited liability company, S corporation, cooperative, estate,
10 or trust.

11 5. Any tax credit in excess of the tax liability is
12 refundable. In lieu of claiming a refund, the taxpayer
13 may elect to have the overpayment shown on the taxpayer's
14 final, completed return credited to the tax liability for the
15 following tax year.

16 6. a. To claim a tax credit under this section, a taxpayer
17 shall include one or more tax credit certificates with the
18 taxpayer's tax return.

19 b. The tax credit certificate shall contain the taxpayer's
20 name, address, tax identification number, the amount of the
21 credit, the name of the eligible business, and any other
22 information required by the department of revenue.

23 c. The tax credit certificate, unless rescinded by the
24 authority, shall be accepted by the department of revenue as
25 payment for taxes imposed pursuant to chapter 422, subchapters
26 II and III, subject to any conditions or restrictions placed by
27 the authority upon the face of the tax credit certificate and
28 subject to the limitations of the program.

29 d. Tax credit certificates issued pursuant to this section
30 are not transferable.

31 7. a. The maximum amount of tax credits the authority may
32 issue each fiscal year pursuant to this section shall be as
33 provided in section 15.119.

34 b. (1) The maximum amount of tax credits that the authority
35 may issue to an eligible business for the production of

1 sustainable aviation fuel in a calendar year shall not exceed
2 one million dollars.

3 (2) The authority shall not issue more than five tax credit
4 certificates to an eligible business for the production of
5 sustainable aviation fuel under the program.

6 Sec. 123. NEW SECTION. **15.534 Reports to general assembly.**

7 1. For purposes of this section, "*successful tax credit*
8 *applicant*" includes, with respect to each fiscal year, an
9 eligible business that was issued a tax credit certificate for
10 production of sustainable aviation fuel during that fiscal
11 year.

12 2. The annual report under section 15.107B shall include
13 a report, developed in cooperation with the department of
14 revenue, describing the activities of the program for the
15 previous fiscal year. The report shall, at a minimum, include
16 all of the following information:

17 a. The aggregate number of gallons of sustainable aviation
18 fuel produced for which successful tax credit applicants
19 received a tax credit in the previous calendar year.

20 b. For each eligible business issued a sustainable aviation
21 fuel tax credit during each calendar year:

22 (1) The identity of the eligible business.

23 (2) The amount of the tax credit.

24 c. The total amount of all sustainable aviation fuel tax
25 credits claimed during each calendar year, and the portion of
26 the claims issued as a refund.

27 3. To protect the presumption of confidentiality
28 established pursuant to section 15.532, the board shall report
29 all information in an aggregate form to prevent, as much as
30 possible, information being attributable to any particular
31 eligible business, except as provided in subsection 2.

32 Sec. 124. NEW SECTION. **15.535 Future repeal.**

33 Sections 15.530, 15.531, 15.532, 15.533, 15.534, and this
34 section are repealed January 1, 2037.

35 Sec. 125. NEW SECTION. **422.10C Sustainable aviation fuel**

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1 tax credit.

2 The taxes imposed under this subchapter, less the credits
3 allowed under section 422.12, shall be reduced by a sustainable
4 aviation fuel tax credit allowed under section 15.533. This
5 section is repealed January 1, 2037.

6 Sec. 126. Section 422.33, Code 2025, is amended by adding
7 the following new subsection:

8 NEW SUBSECTION. 23. The taxes imposed under this subchapter
9 shall be reduced by a sustainable aviation fuel tax credit
10 allowed under section 15.533. This subsection is repealed
11 January 1, 2037.

12 Sec. 127. TAX CREDIT CLAIMS. Sustainable aviation fuel tax
13 credits issued pursuant to the sustainable aviation tax credit
14 program enacted in this division of this Act shall not be
15 issued by the economic development authority prior to July 1,
16 2026, and shall not be claimed by a taxpayer prior to September
17 1, 2026.

18 Sec. 128. CODE EDITOR DIRECTIVE. The Code editor shall
19 designate sections 15.530 through 15.535, as enacted in this
20 division of this Act, as part 36 of subchapter II.

21 Sec. 129. EFFECTIVE DATE. This division of this Act, being
22 deemed of immediate importance, takes effect upon enactment.

23 Sec. 130. RETROACTIVE APPLICABILITY. This division of this
24 Act applies retroactively to January 1, 2025, for tax years
25 beginning on or after that date.

26 DIVISION XVI

27 MAJOR ECONOMIC GROWTH ATTRACTION PROGRAM

28 Sec. 131. Section 15.494, subsection 1, paragraph b, Code
29 2025, is amended to read as follows:

30 b. If the eligible business fails to comply with any
31 requirements of the program or the agreement as determined
32 by the authority, the eligible business may be required to
33 repay any tax incentives the authority issued to the eligible
34 business. A After a final determination, the authority shall
35 notify the department of revenue of any required repayment of

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1 a tax incentive ~~shall~~. Any repayment shall be considered a
2 tax payment due and payable to the department of revenue by
3 any taxpayer that claimed the tax incentive, and the failure
4 to make the repayment may be treated by the department of
5 revenue in the same manner as a failure to pay the tax shown
6 due, or required to be shown due, with the filing of a return or
7 deposit form. In addition, the county shall have the authority
8 to take action to recover the value of property taxes not
9 collected as a result of the exemption provided to the business
10 under this part.

11 Sec. 132. Section 15.495, subsection 2, Code 2025, is
12 amended to read as follows:

13 2. To receive the sales and use tax refund, the eligible
14 business shall file a claim with the department of revenue as
15 follows:

16 a. The contractor or subcontractor shall state under oath,
17 on forms provided by the department of revenue, the amount of
18 the sales of tangible personal property or services rendered,
19 furnished, or performed including water, sewer, gas, and
20 electric utility services upon which sales or use tax has
21 been paid ~~prior to contract completion~~ during the period for
22 which the refund is claimed, and shall submit the forms to the
23 eligible business before contract completion.

24 b. ~~The eligible business shall inform the department of~~
25 ~~revenue in writing of contract completion.~~ The eligible
26 business shall, ~~after contract completion~~ no more frequently
27 than quarterly, submit an application to the department
28 of revenue for a refund of the amount of the sales and use
29 taxes paid pursuant to [chapter 423](#) upon any tangible personal
30 property, or services rendered, furnished, or performed,
31 including water, sewer, gas, and electric utility services.
32 The application shall be submitted in the form and manner
33 prescribed by the department of revenue. The department of
34 revenue shall audit the application and, if approved, issue
35 a warrant or warrants to the eligible business in the amount

1 of the sales or use tax which has been paid to the state of
2 Iowa under subsection 1. The eligible business's application
3 must be submitted to the department of revenue within one year
4 after the project completion date. An application filed by the
5 eligible business in accordance with this section shall not be
6 denied by reason of a time limitation for filing a refund claim
7 set forth in ~~chapter 421 or 423~~ section 423.47.

8 c. The refund shall be remitted by the department of revenue
9 to the eligible business ~~equally over five tax years~~ as soon as
10 practicable after completion of an audit pursuant to paragraph
11 "b". Interest shall not accrue on any part of the refund that
12 has not yet been remitted by the department of revenue to the
13 eligible business.

14 DIVISION XVII

15 MASS LAYOFFS AND BUSINESS CLOSURES

16 Sec. 133. NEW SECTION. **15.112 Mass layoffs and business**
17 **closures.**

18 If an entity that is awarded a tax incentive or other
19 financial assistance under any of the programs administered by
20 the authority experiences a business closure or a mass layoff
21 for which notice is required under chapter 84C, the authority
22 may reduce or eliminate some or all of the financial assistance
23 awarded by the authority to the entity.

24 DIVISION XVIII

25 CONFORMING CHANGES

26 Sec. 134. Section 8.55, subsection 3, paragraph f,
27 subparagraph (2), subparagraph division (a), as enacted by 2025
28 Iowa Acts, Senate File 619, section 82, is amended to read as
29 follows:

30 (a) Disaster aid provided to businesses engaged in disaster
31 recovery as described in ~~chapter 15, subchapter II, part 13~~
32 section 15.111, and housing businesses engaged in disaster
33 recovery housing projects as defined in section 15.354,
34 subsection 6.

35 Sec. 135. 2025 Iowa Acts, House File 975, section 10, if

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(amending this HF 1054 to CONFORM to SF 657)

1 enacted, is amended to read as follows:

2 SEC. 10. TRANSFER OF MONEYS. On the effective date of this
3 division of this Act, any unencumbered or unobligated moneys
4 remaining in the brownfield redevelopment fund created in
5 section 15.293 are transferred to a fund or funds established
6 pursuant to section ~~15.335B~~ 15.111, subsection 1, paragraph
7 "a", as determined by the economic development authority.

8 DIVISION XIX

9 RESEARCH ACTIVITIES TAX CREDIT — AGRISCIENCE

10 Sec. 136. Section 422.10, subsection 1, paragraph a,
11 subparagraph (1), subparagraph division (b), subparagraph
12 subdivision (i), Code 2025, is amended to read as follows:

13 (i) (A) A person engaged in agricultural production as
14 defined in [section 423.1](#) except if the credit is based on
15 conducting agriscience research as defined in subparagraph part
16 (B) and the person or the business is engaged in bovine and
17 porcine veterinary research, the person shall not be considered
18 to be engaged in agricultural production as defined in section
19 423.1.

20 (B) As used in this subparagraph subdivision, "agriscience
21 research" means research that is approved and overseen or
22 monitored by a board that includes, at a minimum, an individual
23 who was employed with, contracted by, or professionally trained
24 by an accredited university as a researcher in an applied
25 animal science and an individual holding a doctor of veterinary
26 medicine or a doctoral degree in an applied animal science;
27 is conducted in this state in an applied animal science;
28 improves the scientific knowledge base or increases scientific
29 innovation, performance, or viability within this state; the
30 results of the research are evaluated by a person educated and
31 trained in statistics by an accredited university and capable
32 of applying generally accepted methodologies to the results
33 in accordance with industry standards in an applied animal
34 science; and the results of the research are made available
35 to the public by submission to or publication in a journal,

1 magazine, or similar periodical, if the statistical evaluation
2 indicated the research is reliable and relevant to an applied
3 animal science.

4 (C) As used in this subparagraph subdivision, "applied
5 animal science" includes the areas of animal science,
6 veterinary medicine, nutritional science, genetic science, and
7 microbiology.

8 Sec. 137. Section 422.33, subsection 5, paragraph e,
9 subparagraph (1), subparagraph division (b), subparagraph
10 subdivision (i), Code 2025, is amended to read as follows:

11 (i) (A) A person engaged in agricultural production as
12 defined in section 423.1, except if the credit is based on
13 conducting agriscience research and the person or the business
14 is engaged in bovine and porcine veterinary research, the
15 person shall not be considered to be engaged in agricultural
16 production as defined in section 423.1.

17 (B) As used in this subparagraph subdivision, "agriscience
18 research" means research that is approved and overseen or
19 monitored by a board that includes, at a minimum, an individual
20 who was employed with, contracted by, or professionally trained
21 by an accredited university as a researcher in an applied
22 animal science and an individual holding a doctor of veterinary
23 medicine or a doctoral degree in an applied animal science;
24 is conducted in this state in an applied animal science;
25 improves the scientific knowledge base or increases scientific
26 innovation, performance, or viability within this state; the
27 results of the research are evaluated by a person educated and
28 trained in statistics by an accredited university and capable
29 of applying generally accepted methodologies to the results
30 in accordance with industry standards in an applied animal
31 science; and the results of the research are made available
32 to the public by submission to or publication in a journal,
33 magazine, or similar periodical, if the statistical evaluation
34 indicated the research is reliable and relevant to an applied
35 animal science.

1 (C) As used in this subparagraph subdivision, "*applied*
2 *animal science*" includes the areas of animal science,
3 veterinary medicine, nutritional science, genetic science, and
4 microbiology.

5 Sec. 138. RETROACTIVE APPLICABILITY. This division of this
6 Act applies retroactively to January 1, 2017, for tax years
7 beginning on or after that date.

8 DIVISION XX

9 MOTOR FUEL TAXES — REPORTING

10 Sec. 139. Section 452A.3, subsection 1, paragraph b,
11 unnumbered paragraph 1, Code 2025, is amended to read as
12 follows:

13 On and after July 1, 2030, an excise tax of thirty cents is
14 imposed on each gallon of ethanol blended gasoline classified
15 as E-15 or higher. Before July 1, 2030, the rate of the excise
16 tax on ethanol blended gasoline classified as E-15 or higher
17 shall be based on the number of gallons of ethanol blended
18 gasoline classified as E-15 or higher that are distributed
19 in this state as expressed as a percentage of the number of
20 gallons of motor fuel distributed in this state, which is
21 referred to as the distribution percentage. For purposes
22 of this paragraph "b", only ethanol blended gasoline and
23 nonblended gasoline, not including aviation gasoline, shall be
24 used in determining the percentage basis for the excise tax.
25 The department shall determine the percentage basis for each
26 determination period beginning January 1 and ending December 31
27 based on information from reports submitted to the department
28 for filing pursuant to [section 452A.33](#). Before June 1, the
29 department may amend the distribution percentage due to a
30 mistake or if there is a late report filed by a retail dealer to
31 the department under section 452A.33, subsection 1. The rate
32 for the excise tax shall apply for the period beginning July
33 1 and ending June 30 following the end of the determination
34 period. Before July 1, 2030, the rate of the excise tax on each
35 gallon of ethanol blended gasoline classified as E-15 or higher

1 shall be as follows:

2 Sec. 140. Section 452A.3, subsection 3, paragraph a,
3 subparagraph (2), unnumbered paragraph 1, Code 2025, is amended
4 to read as follows:

5 Except as otherwise provided in [this section](#) and in this
6 subchapter, this subparagraph shall apply to the excise tax
7 imposed on each gallon of biodiesel blended fuel classified
8 as B-20 or higher used for any purpose for the privilege of
9 operating motor vehicles in this state. On and after July 1,
10 2030, the rate of the excise tax on each gallon of biodiesel
11 blended fuel classified as B-20 or higher is thirty-two and
12 five-tenths cents. Before July 1, 2030, the rate of the excise
13 tax on each gallon of biodiesel blended fuel classified as
14 B-20 or higher shall be based on the number of gallons of
15 biodiesel blended fuel classified as B-20 or higher that are
16 distributed in this state as expressed as a percentage of the
17 number of gallons of special fuel for diesel engines of motor
18 vehicles distributed in this state, which is referred to as
19 the distribution percentage. The department shall determine
20 the percentage basis for each determination period beginning
21 January 1 and ending December 31 based on information from
22 reports submitted to the department for filing pursuant to
23 section 452A.33. Before June 1, the department may amend the
24 distribution percentage due to a mistake or if there is a late
25 report filed by a retail dealer to the department under section
26 452A.33, subsection 1. The rate of the excise tax shall apply
27 for the period beginning July 1 and ending June 30 following
28 the end of the determination period. Before July 1, 2030, the
29 rate of the excise tax on each gallon of biodiesel blended fuel
30 classified as B-20 or higher shall be as follows:

31 Sec. 141. Section 452A.15, subsection 5, Code 2025, is
32 amended to read as follows:

33 5. The director may impose a civil penalty against any
34 person who fails to timely file the reports or keep the records
35 required under [this section](#). The penalty shall be one hundred

1 dollars for the first violation and shall increase by one
2 hundred dollars for each additional violation occurring in the
3 calendar year in which the first violation occurred.

4 Sec. 142. Section 452A.33, subsection 2, unnumbered
5 paragraph 1, Code 2025, is amended to read as follows:

6 On or before April 1 the department shall deliver a report
7 to the governor and the legislative services agency. Before
8 June 1, the department may amend the report due to a mistake or
9 if there is a late report by a retail dealer under subsection
10 1. The report shall compile information reported by retail
11 dealers to the department as provided in this section and shall
12 at least include all of the following:

13 DIVISION XXI

14 E-15 PROMOTION TAX CREDIT

15 Sec. 143. Section 422.110, subsection 5, paragraph b, Code
16 2025, is amended to read as follows:

17 b. This subsection is repealed January 1, 2026 2028.

18 Sec. 144. Section 422.11Y, subsection 9, Code 2025, is
19 amended to read as follows:

20 9. This section is repealed January 1, 2026 2028.

21 Sec. 145. Section 422.33, subsection 11D, paragraph c, Code
22 2025, is amended to read as follows:

23 c. This subsection is repealed January 1, 2026 2028.

24 Sec. 146. 2011 Iowa Acts, chapter 113, section 37, as
25 amended by 2016 Iowa Acts, chapter 1106, section 3, and 2022
26 Iowa Acts, chapter 1067, section 57, is amended to read as
27 follows:

28 SEC. 37. TAX CREDIT AVAILABILITY. For a retail dealer who
29 may claim an E-15 plus gasoline promotion tax credit under
30 section 422.11Y or 422.33, subsection 11D, as enacted in this
31 Act and amended in subsequent Acts, in calendar year 2025
32 2027, and whose tax year ends prior to December 31, 2025 2027,
33 the retail dealer may continue to claim the tax credit in the
34 retail dealer's following tax year. In that case, the tax
35 credit shall be calculated in the same manner as provided in

1 section 422.11Y or 422.33, subsection 11D, as enacted in this
2 Act and amended in subsequent Acts, for the remaining period
3 beginning on the first day of the retail dealer's new tax year
4 until December 31, ~~2025~~ 2027. For that remaining period, the
5 tax credit shall be calculated in the same manner as a retail
6 dealer whose tax year began on the previous January 1 and who
7 is calculating the tax credit on December 31, ~~2025~~ 2027.>

8 2. Title page, by striking lines 1 through 15 and inserting
9 <An Act related to state taxation and finance and other
10 related matters, by creating, modifying, and eliminating tax
11 credits and tax incentive programs, providing for penalties,
12 and including effective date and retroactive applicability
13 provisions.>

KAUFMANN of Cedar